BBR BULL & BEAR RESEARCH

Spring 2026 Consumer Outlook

Casual Dining & QSRs

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Consumer Team

Stephen Corrou

Director

(508) 505-5383

corrou.s@northeastern.edu

Kelly Yam

Associate

(917) 480-1761

yam.k@northeastern.edu

Jaiveer Kumar

Analyst

(617) 516-4370

kumar.jai@northeastern.edu

Thomas McCarthy

Analyst

(617) 678-4428

mccarthy.thomas@northeastern.edu

Dylan Fetterman

Analyst

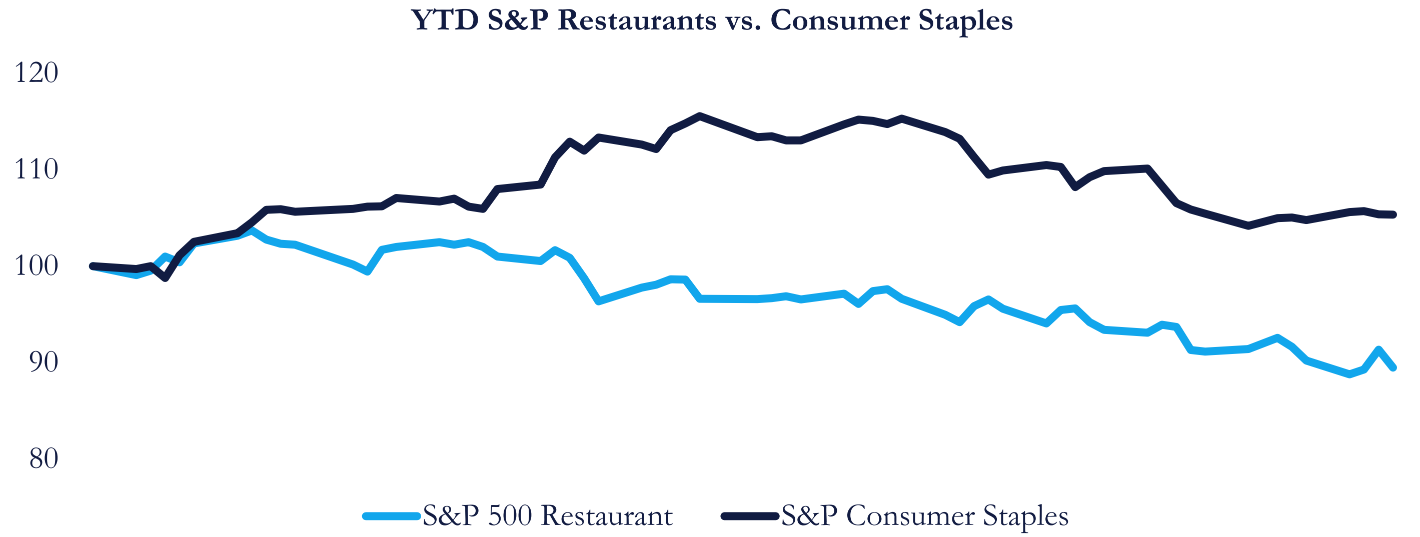
(561) 609-7725

fetterman.d@northeastern.edu

CONSUMER INDUSTRY OVERVIEW

Consumer Space

The consumer sector is one of the pillars of the U.S. economy. It constitutes nearly 70% of the entire GDP. It is often broken down into two main categories: Consumer Discretionary and Consumer Staples. Consumer discretionary products are nonessential items purchased for entertainment, leisure, or pleasure such as apparel, home and office products, and luxury goods. Consumer staples are items considered essential to daily life that are purchased regularly such as packaged food, personal care, beverages, cleaning products, and pet care products. It is important to view both of these verticals with different lenses as consumer discretionary is highly influenced by macroeconomic conditions such as consumer confidence, employment levels, and interest rates. On the contrary, consumer staples are a lot less volatile and have an inelastic demand when correlated to price. Market confidence has declined significantly in 2026, with the Conference Board Index (leading indicator of consumer confidence) declining to 85.4 in January 2026, the lowest since May 2014. The top 10% of owners drive over 50% of all consumer spending – the highest levels since 1989. However, the Fed's rate cuts in late 2025 instilled confidence in the economy and a cushion for the tariff related price increases. The expected 10-year annualized return for consumer discretionary is 4.92% while it is 6.71% for consumer staples.



Consumer Restaurant Consumption

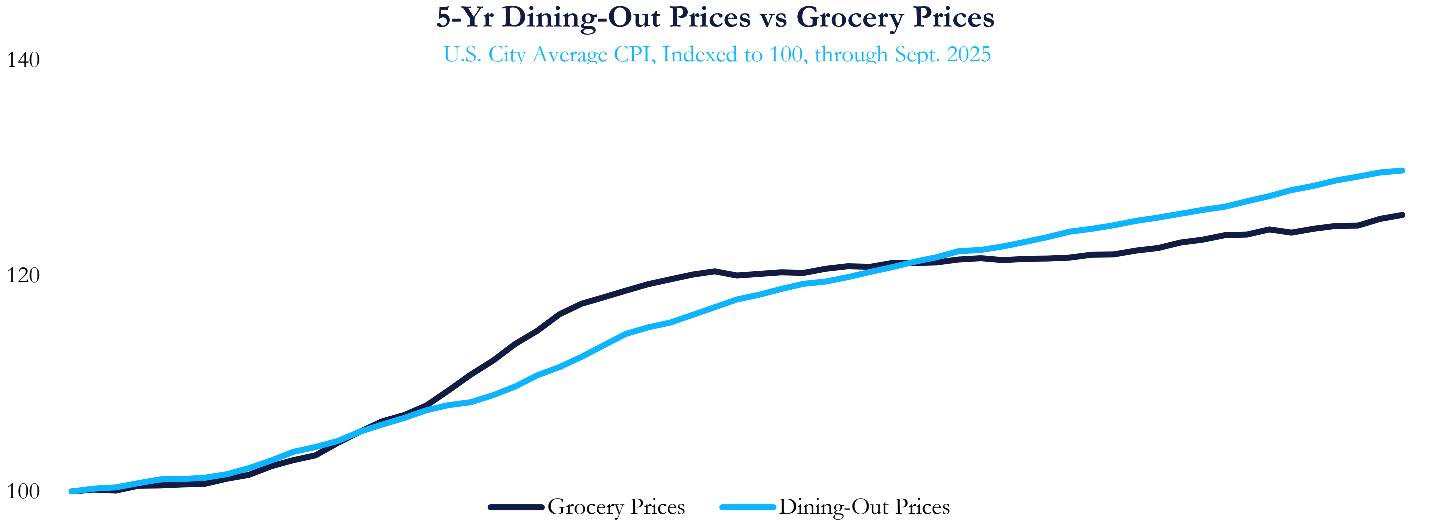
Restaurant Consumption is a key barometer of the Consumer Industry's health and represents an important segment within the consumer discretionary space. The main segments are quick-service restaurants (QSRs), fast casual, casual dining, fine dining, and delivery-based platforms. Demand in this sector is a function of disposable income, shifting lifestyle preferences, and consumer confidence. The restaurant industry was estimated to cross $1.5 trillion in sales in 2025, a 20% jump from its 2023 levels. This can be attributed to distribution channels are becoming a lot more advanced – mobile ordering, cloud kitchens and direct-to-consumer platforms are reducing the steps in the process, making it easier to consume. Digital restaurant sales are at $370 billion for 2025, up nearly $150 billion since pre-pandemic levels. Most of this digital growth can be attributed to fast-casual and casual dining, which make up over 40% of the total U.S. restaurant industry by sales. Despite prices rising, specifically raw material and energy costs spilling over to menu costs, same-store sales growth is expected to range between 3%-5% through 2026. This report will include deep dives into key verticals within the Casual Service and Quick dining space. These sections will look at competition, costs, consumer behavior, and the main trends that will influence the industry in the years ahead as well as include coverage on public equities within the space. Finally, we have initiated coverage on TRH and CAVA, including our own, along with the street's view on these firms.

Sources: BEA, Bloomberg, Moody's, National Restaurant Association, The Conference Board

RESTAURANT INDUSTRY OVERVIEW

Casual Dining

The casual dining segment is characterized by table service, moderate pricing and a relaxed dining environment that bridges the gap between fine dining and quick service. While the industry faced some struggles in 2025, not all chains experienced these headwinds. Chilis (EAT) saw success, with record breaking same store sales, Texas Roadhouse (TXRH) continued to dominate, and IHOP (DIN) had positive traffic for the first time since 2015. With only one third of casual dining brands having positive same-store sales in 2025 according to Black Box Intelligence, the divide in industry success is apparent. The segments struggles are highlighted by casual brand like Dennys, TGI Fridays and Hooters, all closing locations in recent years. Successful chains have distinguished themselves by focusing on both value and customer experience, with brand like Chilis leveraging value positioning through its $10.99 “3 for Me” meal deal, and TXRH focusing on consistent hospitality and a positive atmosphere that supports the dining experience.



Quick Service Restaurants

The quick service restaurant industry represents a significant and rapidly growing portion of the global foodservice industry. The global quick service market size was worth $1,055.48 billion in 2025 and is projected to grow from $1,147.83 billion in 2026 to $2,311.54 billion by 2034, with a CAGR of 9.14% during the forecast period. Dominating the quick service restaurant market is North America with a market share of 37.03% in 2025, expected to grow significantly to an estimated value of $599.87 billion by 2032. This segments success stems from speed of service, standardized and scalable operations, and heavy reliance on franchising models. Leading the U.S. quick service segment includes McDonalds (MCD) with 53.5 billion in systemwide sales, and Chick-fil-A with 22.7 billion in systemwide sales. Chick-fil-A’s drive-through store average unit volumes reached 9.227 million in 2024, highlighting their industry leading unit economics. Other major players include Starbucks (SBUX), opening an industry best 589 stores in 2024, and Taco Bell (YUM), achieving a record $1 billion profit in 2024. Online ordering and delivery have become increasingly correlated to QSR success. The food delivery business has observed rapid growth recently with the growing usage of food delivery websites and applications, with major players developing their food ordering and delivery services. The segment continues to navigate consumer demand for value, with fourth quarter traffic rising 0.8% in comparison to a year ago when traffic fell 1.1%. McDonalds (MCD) has been successful, with its $5 deal as a cornerstone of the McValue platform, implemented to counteract consumer pullback, especially for lower income customers. Wendy’s (WEN) was also successful at creating customer value through introducing a new “two-for-$7” meal deal with 16 different menu items, highlighting the value-focused competitive landscape that is characterizing the current quick service restaurant landscape.

Sources: Food industry, Fortune Business Insights, , NRN, QSR Magazine, Restaurant Dive

REGULATORY LANDSCAPE

Statewide Changes

The state level regulatory environment is currently defined by an aggressive push for higher labor standards and expanded worker protections with California and New York serving as a primary blueprints for national trends. Operators in 2025 and 2026 are managing a transition to significantly higher base wages such as California's $20 per hour mandate for national fast-food chains and New York's move toward a $17.00 per hour minimum. Beyond simple wage hikes, states are implementing complex administrative requirements including new mandates for designated emergency contacts for workplace detentions and strictly enforced meal and rest break schedules. These cumulative pressures have begun to impact industry health with recent data indicating that nearly 44% of establishments are currently operating at a loss or just breaking even as they struggle to absorb these rising structural costs

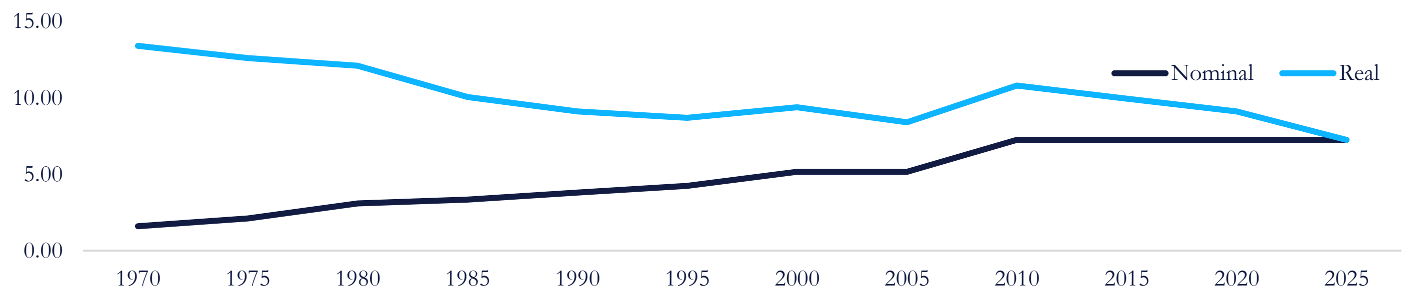
Global Perspectives

International markets are facing a wave of fiscal and operational mandates aimed at public health and consumer protection. In the United Kingdom, the hospitality sector is navigating increases in the national living wage and new restrictions on advertising for products high in fat, sugar, and salt, which are altering market strategies for larger QSR brands. In the Middle East, the UAE has implemented a "Tiered-Volumetric Model" for beverage taxes to curb sugar consumption, while in India regulators have intensified crackdowns on mandatory service charges and high platform fees from delivery aggregators. These global shifts reflect a broader trend of governments using both taxation and direct enforcement to influence restaurant pricing structures and product formulations. Both the casual dining and QSR subsegments will have to evolve.

Federal Developments

At the federal level, the regulatory focus has shifted towards tax-based labor incentives and more stringent food safety transparency. The enactment of the One Big Beautiful Bill Act (OBBA) in July 2025 introduced significant changes to the tax code, most notably the "No Tax on Tips" provision which allows tipped employees to deduct up to $25,000 from their federal income tax. When it comes to the effects on the restaurant industry, the MAHA movement and a change in the food pyramid has flipped the traditional understanding, upside down. The Food and Drug Administration (FDA) is moving forward with high impact public health initiatives, including new front of package nutrition labelling requirements for sodium and added sugars, alongside updated dietary guidelines that prioritize minimally processed foods. Separately, the Federal Trade policy has re-emerged as a tangible cost variable. "Liberation Day", the April 2, 2025 executive action taken by President Trump which establishes broad reciprocal tariffs (including a baseline 10% duty, with higher country specific rates) increases landed costs for certain imported food and beverage inputs. Additionally, Section 232 metal tariffs were increased to 50% in June 2025 and expanded to include derivative products raising risk of packaging driven COGS pressure for fountain adjacent canned beverages and other metal linked packaging formats. While some complex initiatives like the Food Traceability Rule have seen compliance deadlines extended to 2028, the overall federal directory remains focused on increasing the visibility of nutritional content and providing targeted tax relief to the hospitality workforce. State tax remains for employees who collect tips from a traditionally tipped industry (hospitality, service, and others).

Nominal vs. Real Minimum Wage (USD)



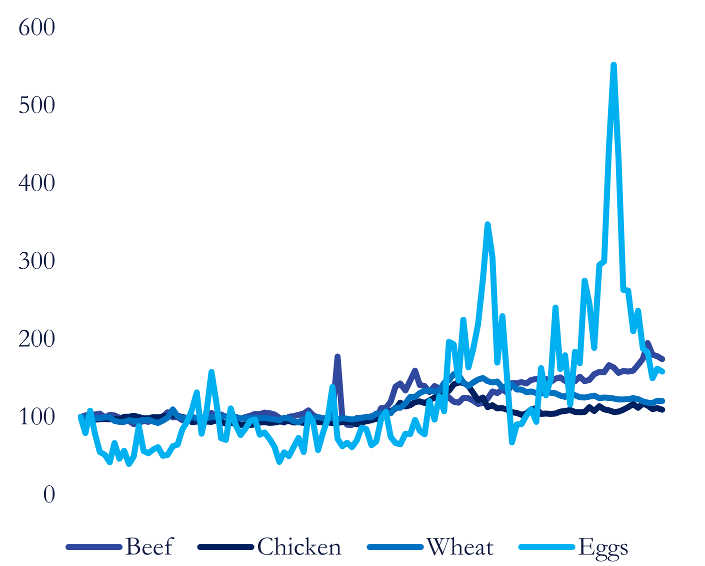
Sources: AP, FRED, National Restaurant Association, Packaging Dive, SEC

HEADWINDS

Demand Elasticity & Value Wars

Consumers continue to use a price-cautious approach when eating out, making it difficult for QSR operators to rely on price increases to drive sales growth. Despite inflation slowing from peak levels, many households are still taking cautious approaches to their discretionary spending. This in turn reduces QSR same-store sales growth. This has increased demand elasticity across the industry, as consumer loyalty erodes the moment perceived value diminishes. The result of this is increased competition for the "value-oriented" customer, with most major QSR and casual dining brands offering forms of bundled meals, discounts, or loyalty programs to incentivize consumers. As competition grows, consumers are starting to view these offerings as the new standard, rather than additional value. This has reduced the effectiveness of these offerings; leading to shrinking margins across the industry which limit profitability. In the long term, continued reliance on discounts and promotions will alter customer expectations around prices, making it difficult for brands to regain their pricing power as macro conditions normalize. This dynamic has created a challenging operating environment, where brands are forced to balance store traffic with profitability, favoring those who communicate value through brand strength, product innovation, and experiences rather than price alone.

10-Yr Commodity Price Changes (PPI)



Labor Costs & Wage Regulation

Labor costs and wage regulation have become significant structural headwinds for the quick service and casual dining industries. Wage levels have been rising post pandemic, showing minimal signs of reverting back. Operators now face elevated hourly wages, increasing benefit requirements, and employee turnover costs associated with training and recruiting staff. This results in large fixed cost structures across industries. Paired with slow foot traffic and decreased consumer discretionary spending, operators' margins are under pressure. In response to this, brands are investing in labor-reducing technology, led by self service kiosks and kitchen automations. These technology's have become essential for success but require major capital expenditures that not all franchises can absorb. Large technology spending combined with long pay back periods puts a headwind on short term profitability. The combination of growing labor costs, capital-intensive automation investments, and reduced foot traffic puts pressure on undercapitalized and smaller franchises. Structural factors such as a tighter immigration policy suggest wage pressures will continue, making productivity and technology investment essential. This dynamic positions operators with strong unit economics, technological infrastructure and efficient labor models to succeed.

Commodity Volatility

QSR and casual dining operators are faced with consistent input cost volatility. This is driven by inconsistent agricultural cycles, supply chain disruptions, and geopolitical tensions. Core industry commodities such as beef, eggs, wheat, and chicken have experienced significant price shifts in recent years due to a variety of structural factors: droughts in cattle-producing regions, avian flu outbreaks, and commodity spikes from the Ukraine disruptions. The delay between commodity cost changes and menu price adjustments that operators are faced with forces them to absorb price spikes into COGS before being able to pass pricing through to customers by reflecting it on the menu. This imbalanced cost structure puts constant pressure on profits, leaving operators with volatile expenses during a period of slowed revenue.

Sources: (FRED), McKinsey, Restaurant Dive

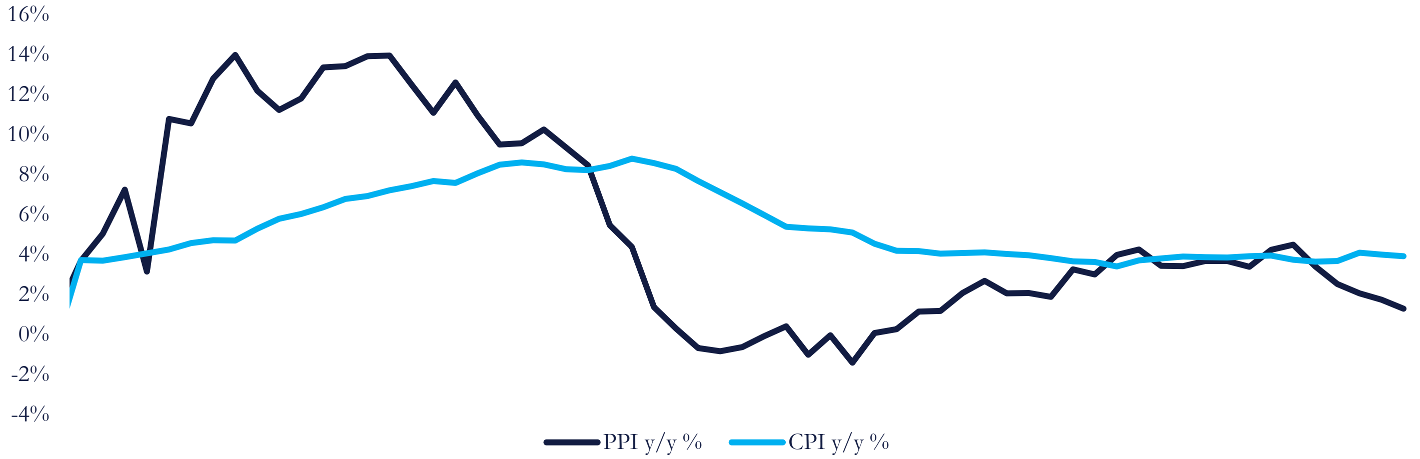
HEADWINDS (cont')

Supply Chain Volatility and Tariff Induced Input Inflation

The restaurant industry is navigating a food-cost crisis that has evolved beyond general post-pandemic inflation to targeted cost increases driven by supply-chain volatility, trade policy uncertainty, and tariff-induced price inflation. These trade-related cost pressures are compounding an already elevated cost environment. Food prices have risen sharply over the past years, operators continue to cite food and labor as their top concerns, and changes in supply delivery are increasingly common. As of early 2026, 82% of restaurant operators reported the tariffs and trade restrictions forced prices upwards across nearly every ingredient category. This headwind is not uniform across all operators. While exact figures vary by region and category, the directional impact is clear. Rising input costs are compressing margins and driving price adjustments industry-wide. These dynamics affect the industry broadly, but they are particularly constraining for QSR and casual dining segments, where high volume purchasing, promotional intensity, and value positioning limit the ability to fully pass through cost inflation without dampening demand. As tariff-driven and supply-chain costs continue to climb alongside wage pressures, many operators are facing a "double squeeze" that forces them to balance affordability, traffic, and margin preservation.

PPI Processed Foods vs. CPI Food Away From Home

YoY % Change, through February 2026



Escalating Environmental Compliance

In parallel, the industry faces growing compliance burdens driven by sustainability, food safety, and transparency regulations at both federal and state levels. These regulatory shifts increase administrative complexity and raise both operating and capital costs as operators must evaluate, procure, and manage packaging for diverse markets. National initiatives aim to reduce food waste through expanding recycling frameworks, requiring restaurants to adopt waste tracking and reporting systems. These systems would utilize AI and and smart scales to weigh the amount of food that is leaving the restaurant, uneaten. Meanwhile, the Food Safety Modernization Act (FSMA) emphasizes prevention controls across the supply chain, raising expectations around supplier standards, recordkeeping, and traceability practices that demand coordination and investment. Simultaneously, expanding environmental, social, and governance (ESG) expectations place additional pressure on operators to measure, verify, and disclose greenhouse gas emissions, food waste, and water use. Collectively, these regulatory and reporting requirements can support long-term resilience and environmental performance. However, in an industry with thin margins and distributed operational footprints, they represent a headwind as operators invest in compliance infrastructure, adapt to varied local and federal rules, and integrate complex reporting into already constrained administrative workflows. These developments will contribute to margin pressure making it harder for an industry with already tight operating margins.

Sources: Baron's, National Restaurant Association, U.S Food and Drug Administration

TAILWINDS

Market Share Consolidation

The QSR and casual dining landscape is experiencing accelerated market share consolidation, with industry leaders capitalizing on operational dysfunction among smaller competitors. Brands like McDonalds (MCD), Wingstop (WING), and Dominos (DPZ) have consistently outperformed their peers on metrics such as same-store sales and foot traffic. They do this by leveraging their brand recognition, product quality, and promotions to capture customers from struggling competitors. As secondary brands navigate internal issues such as Wendy's (WEN) closing 300 stores, category leaders are perfectly positioned to expand and gain market share. This relationship creates an advantage for larger operators, as market share gains are harder to regain once lost. This results in a widening performance gap between established, growing companies and those undergoing performance issues or brand turnarounds. With continued discounting and necessary technological investment further reinforcing this consolidation trend, established brands at the top of these industries are positioned to succeed best. Long-term, this environment rewards consistent execution and sustained investment, creating a growing gap between industry winners and underperformers trying to survive.

Major Sporting Events

The 2026 calendar provides many impactful events that have historically driven traffic and sales for both QSR and casual dining operators. The FIFA World Cup leads these events as the most notable, being hosted in the United States during June and July. This event alone will bring traffic, with millions of attendees coming to over 100 matches in North America, as well as billions watching the games remotely. This event will bring an opportunity for operators to advertise their franchises, as well as foot traffic that will drive in store sales, and allow the re-engagement of old customers. Beyond the World Cup, events such as the NBA and NHL Playoffs, the MLB season starting, and other upcoming summer sports events consistently generate sales and traffic increases, especially for sport and service-oriented franchises. While not all operators are positioned for massive traffic and sales increases, these events give even struggling brands the opportunity to gain momentum and revitalize growth. The concentration of major events throughout the year gives multiple windows to capture market share through periods of heightened consumer engagement, providing revenue opportunities that can help offset industry headwinds.

Higher Take-Home Pay

Multiple macroeconomic factors are positioned to provide meaningful support for consumer discretionary spending in 2026. Tax relief measures outlined in President Trump's "One Big Beautiful Bill," signed in July 2025, are expected to directly reduce taxable income amongst many middle- and low-income earners, through policies like tax deductions for tips and overtime, directly increasing service workers discretionary income. These provisions are expected to increase tax refunds, boosting disposable income especially for working-class households. This will help aid some of the pullbacks the QSR and casual dining industries have had, as lack of consumer discretionary spending has been the culprit of slow growth across industries. While these tailwinds may not fully resolve consumer spending caution, the combination of increased take-home pay and improved household budgets can drive store traffic and increase check size.

Technology as Competitive Advantage

Technological investments made years ago by leading brands are now gaining competitive separation. Currently, smaller names are trying to replicate those investments while margins are under pressure. Brands like McDonalds (MCD), Dominos (DPZ), and Wingstop (WING) have deployed digital ordering platforms, loyalty programs, and kitchen automations years ago. They are now gaining a competitive advantage as wages increase and foot traffic slows. WING's Smart Kitchen highlights the benefits of these investments. Restaurants who have deployed the technology are seeing a reduction in delivery times and improved order accuracy. However, smaller, undercapitalized franchises attempting to make similar deployments today are faced with large upfront capital costs and long-term payback periods without short term gains. This gives the industry technology leaders the ability to compound their advantages.

Sources: IRS, NRN, QSR Magazine, Restaurant Dive

GLP-1s

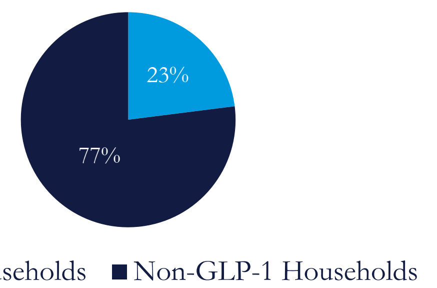
Adoption

GLP-1 medications such as Ozempic, Wegovy, and Zepbound are scaling quickly and are increasingly relevant for food-away-from-home. Circana estimates that 23% of U.S. households had someone on a GLP-1 by late 2025, and projects that GLP-1 users could account for 35% of U.S. food and beverage sales by 2030. Early spending data suggest that these drugs are reshaping where and how calories are consumed. Household-level panels show that GLP-1 users cut total calories and reduce spend on certain categories, while maintaining restaurant usage and reallocating away from some at-home and indulgent purchases. The GLP-1 landscape shifted significantly in late 2025 with the FDA approval of oral semaglutide (Wegovy pill), marking the first oral GLP-1 approved for chronic weight management. Novo Nordisk launched the once-daily 25 mg pill in early January 2026, and early uptake has been strong. Clinical data from the OASIS 4 trial showed that patients taking oral Wegovy achieved 16.6% mean weight loss at 64 weeks (versus 2.7% for placebo), with one-third of adherent participants achieving at least 20% weight loss. Among those who had previously used GLP-1s, most switched from injectable anti-obesity medications including Wegovy injections and Zepbound, showing patient and clinician preference for oral administration.

Changes for Restaurant Behavior

Data indicates that GLP-1 users remain active restaurant guests, but their behavior looks different. Visit frequency is broadly stable, yet users reduce the average number of items ordered per visit by about 1% and report daily calorie intake down 15-20%. Within the check, GLP-1 users shift toward main dishes and protein-forward entrées and away from sides, snacks, breads, desserts, and large portions; 63% say they are actively seeking more vegetables and 55% more fruit. Alcohol is where GLP-1 shows up the most. These guests are ordering fewer drinks, which hurts chains like Chili's, Applebee's, Buffalo Wild Wings, Yard House, and Texas Roadhouse that depend on the bar for high-margin sales, even though some of that demand is shifting into non-alcoholic and functional beverages.

U.S. Households Using GLP-1 Medications (2025)



Segment Exposure and Relative Risk

Current evidence points to mix and category risk rather than a broad traffic shock, and the exposure is uneven across restaurant segments. GLP-1 households are reducing retail food and beverage purchases by roughly 1.6%, with particularly sharp pullbacks in snacks, sweets, and alcohol, while restaurant spend edges up about 0.9% after one year on the drugs, driven by convenience and household dynamics. Casual-dining and full-service operators report that GLP-1 usage has "not really impacted" overall traffic so far, with Darden emphasizing that social occasions continue to bring guests in even as some opt for smaller portions or lower-calorie options. By contrast, QSR, fast casual, and snack-forward brands are more exposed at the margin, especially where the value proposition is built on large, carb-heavy bundles and sugary beverages, which appear at the top of GLP-1 users "avoid" lists.

Menu Implications

Operators are beginning to treat GLP-1 users as a distinct but attractive demand pool rather than a pure risk. Menu innovation is skewing toward smaller-portion, higher-protein bowls and wraps, and "GLP-1 friendly" or health-forward options, as seen in examples like Smoothie King's GLP-1-targeted menu, which quickly reached about 6% customer penetration. Circana's data show that nutrient-dense items such as smoothies and single-serve portions are growing strongly among GLP-1 users, suggesting room for add-on protein and non-alcoholic beverages, even as sides, desserts, and alcohol attachments weaken. For casual dining, chains like Darden and Texas Roadhouse are quietly building out lunch and lighter-portion sections, aiming to absorb smaller check sizes with traffic and share gains rather than pushing price.

Sources: Circana, Nation's Restaurant News, Technomic, Washington Post, WSJ, Yahoo Finance

AI IN THE RESTAURANT INDUSTRY

Artificial Intelligence Reshaping the Restaurant Industry

The casual dining and restaurant sectors are undergoing a major technological transformation as firms are facing a persistent shortage of labor, rising raw material costs, and wage inflation due to these rising macro-factor headwinds. In response to this, operators have increasingly turned to technology and AI to drive operational efficiency and protect margins. Over 35% of restaurant operators now utilizing AI-powered solutions in at least one area of operations, up from just 12% in 2022. The efficiency gains from AI and technology are valuable in addressing the industry's structural challenges – 30% of revenue is immediately spent in direct labor, and the raw material costs are typically another 28-32%. On a broad scale, AI is being used to process large amounts of location/store specific data (transaction histories, ingredient usage, traffic patterns, local events) and form patterns to best utilize the limited resources. Dynamic pricing has emerged as another key application of AI in restaurants. Wendy's was the first mover in the space. In February 2024, they announced a $20 million investment in a pilot program which was estimated to increase the topline by 38% and increase average order size. However, management cited it would only be used to reduce prices in periods of low foot traffic and not surge them during busy hours.

Infinite Kitchen

One of the most visible and ambitious applications of AI in the industry has been Sweetgreen's Infinite Kitchen – an automotated robotic assembly system. Sweetgreen took a major step towards AI integration when they acquired Spyce, an assembly system developer, in 2021. The system automates the salad assembly process, a function that was previously time and labor-intensive while being highly repetitive. With the introduction of infinite kitchen market-line, labor is expected to decrease by 50% (already seen 10-15% improvements in efficiency). Furthermore, there are lower error costs and higher consistency. Management has expressed plans to deploy this system in over half of their locations by 2028, positioning automation as a core pillar of its long-term expansion strategy.

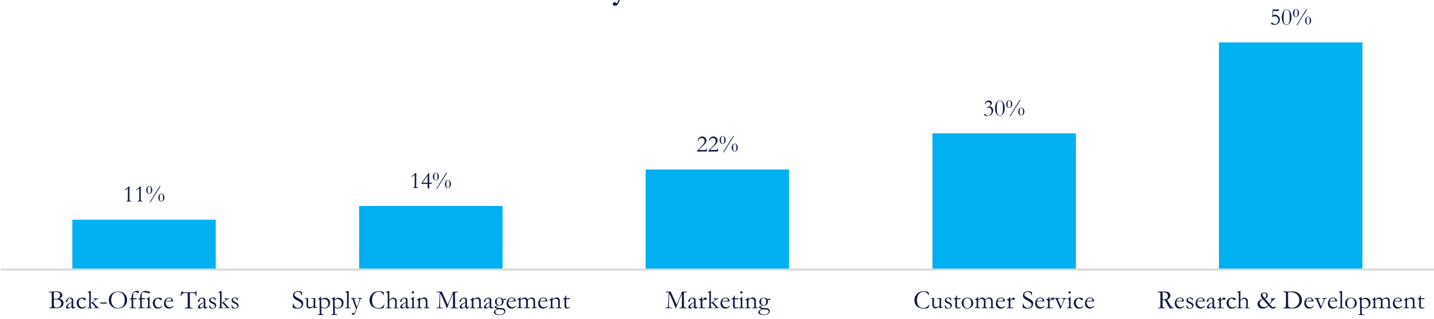
Inventory Forecasting

Operators have also taken to AI to manage inventory, which also serves reducing food waste. This addresses the reality that most restaurants discard nearly 7-10% of their unopened inventory due to a lack of demand foresight. Using AI can better this issue by 20-30%, enabling tighter and more efficient inventory management. Additionally, for fast food units generating over $2.5 million in annual revenue, implementing AI systems for inventory management can decrease food costs by 200bps and approximately add $50 thousand of incremental EBITDA.

Customer Experience

Drive-thru AI has also emerged as a key area of investment, with voice-ordering systems increasingly replacing manned speaker boxes. Firms like Presto and SoundHound are serving thousands of QSR of the chain operators with drive-thrus. These systems claim to improve order accuracy by over 95% while eliminating labor at the speaker box. Beyond the drive-thrus, personalization programs and targeted advertising are also being implemented in the space, increasing customer lifetime value by 15-20% through more frequent purchases and higher order values.

AI Driven Efficiency Gains Across Restaurant Value Chain



Sources: National Restaurant Association, Presto Automation, Sweetgreen, Toast

CREDIT LANDSCAPE

Uses of Debt

Credit spreads in the U.S., both investment grade and high yield, are at the tightest levels they have been in nearly two decades. IG bond spreads range between 80-100bps while HY spreads are 270-290bps. This makes borrowing cheaper and could be a strong signal for future growth. Debt in the casual dining space is used for primarily 2 reasons: growth, both organic and inorganic, and by sponsors for financial engineering. The growth aspect encompasses new unit expansions, investing in digital infrastructure (loyalty programs, AI-driven demand forecasting, etc.), and kitchen automation. The financial engineering aspect of debt comprises dividend recapitalizations, share buyback, or refinancing existing debt. Larger chains tend to lean more heavily on financial engineering to better shareholder return while smaller, unestablished players use debt to fund organic growth.

Logistics of Debt

Land and real estate play a key role in the credit landscape of the dining industry as they are a tool for firms to use as collateral. In addition, dining debt is also underwritten by evaluating franchise royalties as they are a steady, predictable source of cash and are typically long-term contracts. Many smaller outlets are often sponsor-backed, which means they are highly levered and small macroeconomic and unsystematic risk can lead to bankruptcy. Historically, casual dining chains have been levered at ~4-6x EBITDA, which means SSSG declining or overall costs increasing could impair debt service capacity. However, new unit IRRs range between 18-20% and 35% cash-on-cash returns by year 3, making undertaking debt even more lucrative.

$3 Billion

General Debt
Revolving Credit Facility

June 2025

$925 Million

Fin. Engineering
via Fixed-rate Secured Notes

June 2025

$1.3 Billion

Restructuring
via Senior, Unsecured Bonds

March 2025

$750 Million

Acquisition Debt
via Senior Notes

February 2025

Industry Creditworthiness

Credit scores are centered around 4 main factors: Franchisee expansion opportunities, asset-light, royalty-driven models, de-risking through global exposure, and strong SSSG numbers. Keeping these factors in mind, McDonald's (MCD), Starbucks (SBUX), and Darden (DRI), are rated at a BBB or higher by Moody's and the S&P. IG firms have, on average, a debt / EBITDA of 2.5-3.5x while HY firms carry more then 4.5x Debt / EBITDA on their balance sheets. There is a clear split between IG and HY credits in the restaurant space. Additionally, with sponsors exiting QSR at an increasing pace, the supply of asset-backed credit has flooded the market.

Debt Maturity and Refinancing Risk

With the risk for HY players over-leveraging and the underlying trend of single-store-sales-growth (SSSG) decreasing slightly, lenders are hesitant to lend to QSR. Even though HY spreads are the tightest they have been in nearly two decades, credit for QSRs range in the 300-400 bps over the treasury. For IG grade players, the consistent cashflows and maintaining leverage well below covenants has made borrowing even more fruitful in an already strong credit environment. However, in a situation where sector-wide SSSG declines and energy input costs remain elevated, these low spreads could gradually inch back to two-decade averages.

Sources: Bloomberg, ICE BofA, Leveraged Community Data, S&P Global Rankings

M&A ACTIVITY

$2 Billion Blackstone **Acquisition of** Tropical Smoothie Cafe **June 2024**	**$649 Million** Darden **Acquisition of** Chuy's **October 2024**	**$1 Billion** Roark **Acquisition of** Dave's Hot Chicken **May 2025**
$700 Million Rhône **Acquisition Of** Freddy's **September 2025**	**$566 Million** RaceTrac **Acquisition of** Potbelly Sandwich Shop **October 2025**	**$620 Million** Yadav Enterprises Treville Capital Group TriArtisan Capital Advisors **Acquisition of** Denny's **January 2026**

M&A Highlights

Restaurant M&A rebounded through 2024-2025, with over 100 transactions through September 2024. However, strategic buyers declined as payback periods extended (4-5 years currently vs 2-3 years historically), deferring buyers from acquiring company-owned stores. Private Equity has dominated the activity in the space, highlighted by major acquisitions of Daves Hot Chicken and Tropical Smoothie Café. Casual dining has emerged as the preferred segment, with store visits rising YoY since March 2025 as conservative pricing models allow them to compete with quick-service and fast-casual offerings. The Fast-casual segment continues to demand premium valuations (Daves Hot Chicken & Tropical Smoothie acquisitions), and PE firms now represent 31% of all restaurant deals, backed by over 2.5 trillion in capital looking for investment opportunities. Activity is expected to grow through 2026 as improved financing conditions and deployment pressures on unused capital drive buyers towards a multitude of opportunities. Industry margin pressures forced sellers to relax valuation expectations. This has shrunk the bid-ask spread that was previously stalling deals, driving an increase of PE acquisitions.

Sources: Bank of America, Capstone Partners, Kroll, Pitchbook, PwC, Restaurant Dive

IPO ACTIVITY

$2.45 Billion $22 per Share CAVA June 2023	$956 Million $20 per Share BLACK ROCK COFFEE BAR™ September 2025	$1 Billion $17 per share TWIN PEAKS EATS • DRINKS • SCENIC VIEWS January 2025
$622 Million $12 per Share GEN KOREAN BBQ HOUSE June 2023	~$12 Billion Planned IPO SINCE 1956 Jersey Mike's SUBS 2026	~$20 Billion Planned IPO INSPIRE 2026

IPO Highlights

The U.S. restaurant IPO market has seen renewed activity in 2023–2025 after a period of relative dormancy. The main reasons that companies choose to IPO have been location expansion, brand visibility, and sponsors exiting their investments. A common theme being noticed is fast-casual restaurants with a niche focus going public. Cava (CAVA) with their Mediterranean health bowls, Black Rock Coffee Bar's (BRCB) specialty beverages, and Gen's (GENK) experiential dining. These recent IPOs help us understand that, in general basis, going public is not the desired method to raise capital, and most IPOs in the space are specialty companies that offer a clear and unique differentiator. Separately, Jersey Mike's Subs and Inspire Brands (Buffalo Wild Wings, Dunkin' Donuts, Baskin-Robbins, etc.) are set to be the biggest IPOs since Darden Restaurants (DRI) in 2019. Analysts are estimating market caps at $12 billion and $20 billion respectively, putting them in the top 10 restaurant IPOs. By valuation The limited number of IPOs demonstrates that investor appetite and public market sentiment is very selective about restaurants, with strong unit economics and a highly scalable model being the two most important criteria.

Sources: Bloomberg, CAVA, Moody's, Restaurant Dive

NOTABLE DEAL ACTIVITY

RaceTrac Acquires Potbelly

In September 2025, RaceTrac, Inc., a privately held convenience-store operator, announced that it had entered into a definitive agreement to acquire Potbelly Corporation (PBPB) in an all-cash transaction valued at approximately $566 million. Under the terms of the deal, Potbelly shareholders received $17.12 in cash per share, representing a premium of roughly 47% to the company's 90-day volume-weighted average price prior to the announcement. Potbelly brings a portfolio of roughly 440-450 sandwich shops across the U.S., while RaceTrac operates more than 800 company-owned convenience stores plus a sizable dealer network, creating meaningful opportunities for shared real estate, procurement, and development capabilities. The acquisition, which closed in October 2025, took Potbelly private.

Darden Restaurants (DRI) Acquires Chuy's

On July 17, 2024, Darden Restaurants, Inc. (DRI) announced that it would acquire Chuy's Holdings, Inc. (CHUY), a Tex-Mex casual-dining chain, in an all-cash transaction valued at approximately $605 million. Darden agreed to pay $37.50 per share, representing a 48.4% premium to Chuy's last closing price and a 40% premium to its 60-day volume-weighted average price, implying an acquisition multiple of 10.3x LTM adjusted EBITDA. Chuy's operates a differentiated, Texas-themed full-service concept with a footprint of around 100 restaurants. These will be folded into Darden's broader portfolio alongside brands such as Olive Garden, LongHorn Steakhouse, and Yard House. The transaction closed in October 2024 and represents the ongoing consolidation in full-service dining.

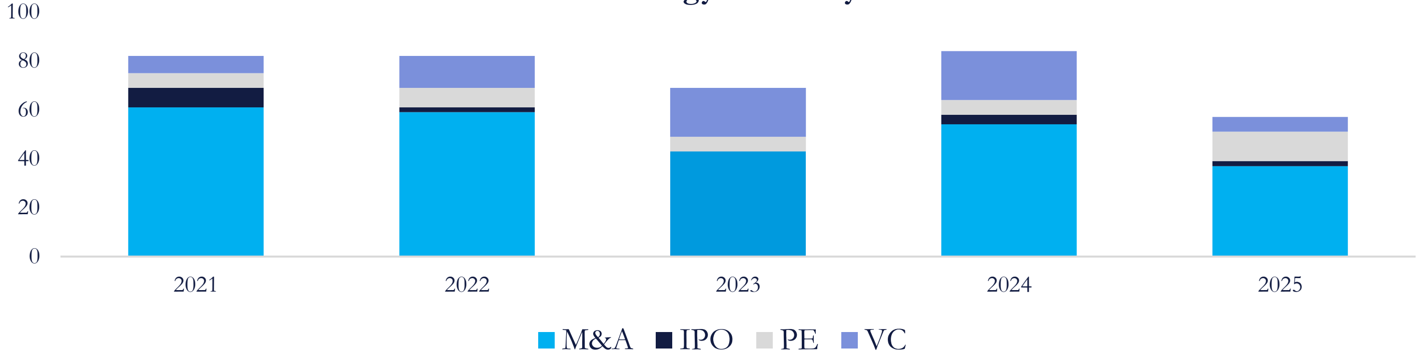
Cava Group (CAVA) IPO

On June 16, 2023, Cava Group, Inc. (CAVA) completed its initial public offering on the New York Stock Exchange under the ticker CAVA. The company sold approximately 14.4 million shares at a price of $22 per share, above the filed range, raising nearly $318 million in gross proceeds and implying a post-IPO equity valuation of roughly $2.4-$2.5 billion. Based on TTM revenue of about $608 million, the IPO valued Cava at roughly 4.0x sales, a premium to mature casual-dining names but below peak 2021 growth multiples. Cava operates a Mediterranean fast-casual concept with a heavy focus on digital ordering and health-forward menus.

Dutch Bros (BROS) IPO

On September 15, 2021, Dutch Bros Inc. (BROS) priced its IPO on the NYSE at $23 per share, above the expected $18-$20 range. The company issued roughly 21.1 million class A shares, raising $484 million in gross proceeds and implying a market capitalization of approximately $3.7-$3.8 billion at the offer price and close to $6.0 billion by the end of the first trading day as shares closed at $36.68. With TTM revenue just over $400 million, the deal valued Dutch Bros at roughly 9x sales, one of the highest revenue multiples awarded to a restaurant issuer in the current cycle. Dutch Bros operates a drive-thru beverage concept with a strong Pacific Northwest brand.

Restaurant Technology - Industry Deal Count



Sources: Bloomberg, CNBC, Investopedia, PitchBook, Restaurant Dive, Yahoo Finance

CASUAL DINING

Positioning Within Full-Service

Casual dining is the largest and most established slice of the U.S. full-service restaurant market, centered on mid-priced, table-service concepts such as Chili's, Olive Garden, Applebee's, and Texas Roadhouse. These brands offer broad menus, alcohol service, and a staffed front-of-house, positioning the segment between fast casual formats (which prioritize speed and off-premise) and fine dining (where average checks and experiential expectations are significantly higher). Within a broader U.S. foodservice industry projected to generate roughly $1.5 trillion of sales in 2025, full-service restaurants are expected to grow at a low-to-mid single digit CAGR through the early 2030s, with casual chains accounting for the bulk of mature, scaled full-service capacity.

Rotation and Demand Dynamics

After several years of underperformance during and immediately after COVID, casual dining has mounted a relative recovery in 2025 as guest traffic "rotates" across segments. Industry trackers show that casual dining has led full-service peers in same-store sales growth this year and is one of the only major categories to deliver sustained positive traffic, even as total restaurant traffic remains roughly flat to slightly negative on a multi-year basis. This turnaround is partly a function of easier comparisons, but it also reflects shifting value perceptions: menu inflation at quick-service and fast casual chains has narrowed the price gap versus entry-level casual dining checks, especially for parties of two or more. As a result, some consumers are trading up from counter-service brands into casual concepts where they perceive higher value per dollar in the form of table service, larger portions, and access to alcohol, while others are trading down from fine dining and special-occasion restaurants to preserve out-of-home experiences at a lower absolute ticket.

Occasion-Driven Traffic and Brand Strategies

The demand environment in casual dining is highly occasion-driven, which has helped the segment despite macro headwinds. Surveys indicate that experiential categories, social gatherings, birthdays, and family dinners, remain a spending priority even as households face persistent food-at-home inflation and higher debt service costs. Casual chains have leaned into this by emphasizing atmosphere and hospitality, using bar programs, sports tie-ins, and localized promotions to anchor themselves as "third places" for younger families and suburban professionals. At the same time, operators have expanded targeted value platforms, weekday specials, 2-for-$X bundles, and kids-eat-free nights, to defend traffic from further trade-down and to fill slower periods such as weekday lunch.

Margins, Mix, and Technology Response

Despite improving top-line trends, the economic model for casual dining remains structurally challenged, with margins squeezed between higher labor and input costs and limited pricing power. Full-service dining is far more labor-intensive than limited-service formats due to reliance on servers, hosts, and bussers, and operators continue to face wage pressure from higher minimums, competitive hiring, and increased benefit expectations. Commodity costs for proteins, dairy, and cooking oils have eased from 2022–2023 peaks but remain well above pre-COVID baselines, and food-and-beverage as a percentage of sales is still higher than in 2019 for many casual concepts. To defend profitability, leading chains are relying less on broad price increases, which risk undermining their value message, and more on mix management (pushing high-margin appetizers and alcoholic beverages), modest menu engineering, and cost discipline on controllable operating expenditure. Strategically, operators are also deploying digital wait-list and reservation tools, pay-at-table functionality, and loyalty programs that connect dine-in visits with curbside pickup and limited delivery, improving table turns and labor scheduling while generating guest-level data for targeted promotions. Looking forward, it's projected that full-service restaurant sales will grow modestly from $522 billion in 2025, with casual dining positioned to participate but facing ongoing competition from value-oriented grocers and a fast casual category projected to grow at 9.1% annually through 2034.

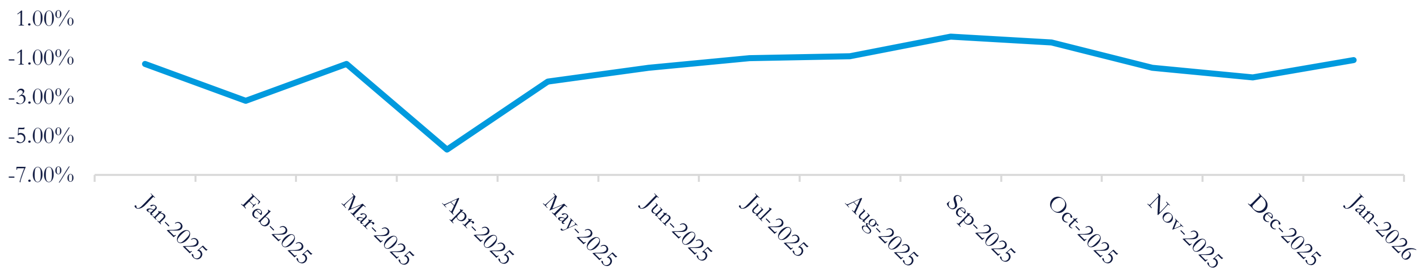
Sources: Black Box Intelligence, Bloomberg, Business Wire, National Restaurant Association WSJ, Yahoo Finance

QSRs & FAST FOOD

Value, Volume, and a Squeezed Middle

Quick-service restaurants (QSRs), dominated by McDonald's, Taco Bell, Wendy's, Burger King, and Chick-fil-A, have long been the workhorse of the U.S. restaurant industry. However, the segment exited 2025 in a very different place than it entered the post-COVID expansion. Brands benefitted early from mobility restrictions and drive-thru dependence, but by 2025 they faced mounting traffic pressure and weaker transaction volumes as inflation-sensitive guests rebalanced between restaurants and value grocers. Black Box Intelligence data shows that QSR and fast casual were the only segments with negative same-store sales growth in April 2025, and while QSRs climbed back to become the second-best traffic performer by late summer, traffic remained down 3.4% year-over-year in August and 2.0% in Q4 2025, trailing prior-year momentum. At the same time, menu-price growth has moderated significantly, limited-service prices rose 3.3% year-over-year in December 2025, down from the 8.2% peak seen in April 2023, leaving brands reliant on mix and transaction growth to drive comps.

QSR Same-Store Traffic Growth (YoY)



Competitive Pressures on QSR Demand

The core structural advantage of QSRs, speed and perceived value at scale, is now being squeezed from both directions. On one side, grocery stores like Aldi and Trader Joe's are stealing fast-food customers by offering cheap ready-to-eat meals that people can grab instead of hitting a drive-thru, especially middle-income shoppers who are watching every dollar. On the other, casual-dining chains positioning themselves as 'the better economic alternative to QSRs' have pulled some traffic up-market by offering bundled meals and bar programs at checks that are only modestly higher than inflated QSR tickets. Houlihan Lokey notes that QSR and fast casual chains are seeing fewer total orders, and a greater share of those orders are low-priced 'value' meals, as customers visit less often and opt for cheaper items when they do.

Strategy and Operational Innovation

Global leaders like McDonald's (MCD) are leaning into platformed value (value meals, $5 combo) while using scale in digital and media to protect traffic. Value meal platforms now account for roughly 30% of U.S. transactions, helping deliver low-single-digit same-store sales growth even as average checks plateau. Others, such as Taco Bell (YUM), are refreshing value menus with "luxe" offerings and pop-culture tie-ins, blending low entry-price items with more premium limited-time offers to keep the brand culturally relevant and encourage trade-up within the order. Chains like Popeyes and KFC (YUM) have generated outsized visit spikes through a mix of new menu items and nostalgia plays. Operationally, QSRs remain the most fertile testing ground for automation and AI-enabled execution, particularly in the drive-thru. While 2024 saw robust drive-thru growth, 2025 data showed slowing volumes and more guests returning to dine-in and digital pick-up, pushing brands to re-optimize each channel's economics. Operators are experimenting with AI voice ordering, triple drive-thru lanes, and smart digital menu boards that dynamically emphasize high-margin items or value bundles, all to claw back seconds from service times and improve accuracy. Loyalty-integrated apps are becoming increasingly popular, allowing QSRs to target offers based on visit frequency/ticket size rather than blanket discounting.

Sources: Black Box Intelligence, CNBC, Houlihan Lokey, Kroll, Nasdaq, WSJ

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Comparable Company Analysis: Casual Dining

PEER UNIVERSE: CASUAL DINING

Logo	Company	Ticker	Description	Market Capitalization ($B)
	Darden Restaurants	DRI	Operates full-service brands including Olive Garden, Longhorn Steakhouse, and Yard House	22.48
	Texas Roadhouse	TXRH	A large national brand focused on steaks and casual family dining	10.74
	The Cheesecake Factory	CAKE	Upscale casual dining including its namesake brand and North Italia	2.75
	Bloomin' Brands	BLMN	Parent company of Outback Steakhouse, Carrabba's Italian Grill, and Bonefish Grill	0.47
	Brinker International	EAT	Operates the Chili's Grill & Bar and Maggiano's Little Italy concepts	6.30
	Dine Brands Global	DIN	Operates full service and family dining concepts Applebee's and IHOP	0.33
	BJ's Restaurants	BJRI	Operates BJ's Restaurant & Brewhouse, a large format casual dining concept	0.76
	Red Robin Gourmet Burgers	RRGB	Full service casual dining focused on gourmet burgers and bottomless sides	0.05

This comparable company set represents the casual dining segment of the U.S. restaurant industry, encompassing full-service dining concepts that rely on a combination of foot traffic, menu innovation, and brand loyalty to drive revenue. The peer group includes large operators such as DRI and TXRH, which serve as benchmarks for the industry given their national footprints and operational efficiency. Mid-sized companies including BLMN, EAT, and CAKE provide insight into the performance of upscale casual formats. Smaller operators such as BJRI, DIN, and RRGB highlight the challenges and opportunities faced by concepts with narrower brand portfolios and greater sensitivity to traffic volatility. Comparing companies provides perspective on how operating leverage, cost structures, and pricing power (among many other metrics) evolve with scale. Larger operators benefit from purchasing power and broader brand recognition, while smaller firms rely on differentiated menus, niche positioning, or franchise-heavy models to maintain competitiveness. Despite differences in size and concept focus, the companies share exposure to key industry drivers, including discretionary consumer spending, commodity and labor cost inflation, and promotional competition within the full-service restaurant space. From here, we will dive deeper into the comparable company analysis to determine how these eight companies operate and compete with one another.

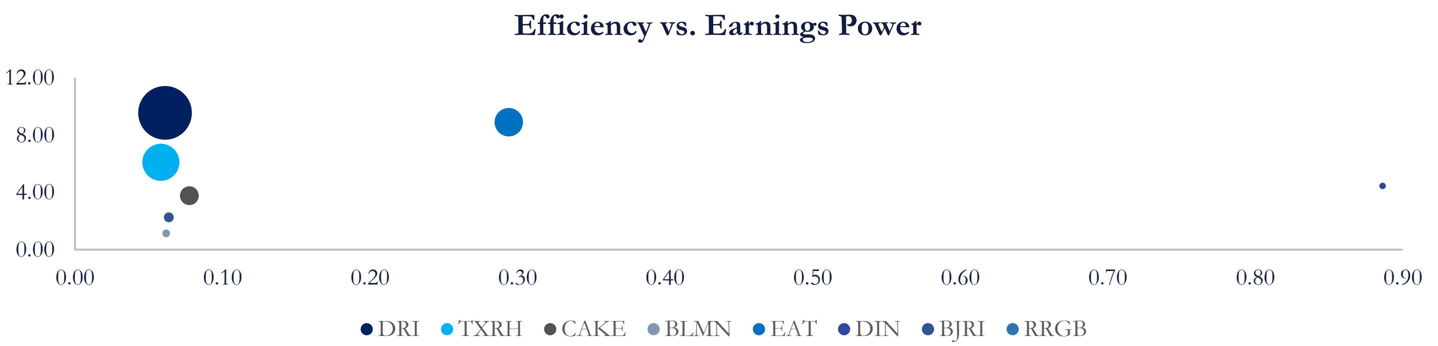
Sources: Bloomberg

COMPANY INFORMATION: CASUAL DINING

$ in millions of USD (As of Q1 2026)

Company	Mkt. Cap	Enterprise Value	Share Price	Revenue	Employees	Revenue/ Employee	Adjusted EPS
Darden Restaurants (DRI)	22,487	30,372	196.33	12,077	197,924	0.06	9.55
Texas Roadhouse (TXRH)	10,744	11,607	162.98	5,878	101,000	0.06	6.1
The Cheesecake Factory (CAKE)	2,754	4,668	55.23	3,752	48,400	0.08	3.77
Bloomin' Brands (BLMN)	468	2,598	5.49	3,956	64,000	0.06	1.14
Brinker International (EAT)	6,301	8,050	144.69	5,384	18,312	0.29	8.9
Dine Brands Global (DIN)	331	1,803	25.50	879	992	0.89	4.45
BJ's Restaurants (BJRI)	760	1,227	35.84	1,399	22,000	0.06	2.26
Red Robin Gourmet Burgers (RRGB)	55	549	3.06	1,210	18,852	0.06	-0.64
Lower	365	1,371	10.49	1,257	18,447	0.06	1.42
Median	1,757	3,633	45.54	3,854	35,200	0.06	4.11
Mean	5,488	7,609	78.64	4,317	58,935	0.20	4.44
Upper	9,634	10,718	158.41	5,755	91,750	0.24	8.20

Darden (DRI) and Texas Roadhouse (TXRH) dominate the set on size with market caps of roughly $24.6 billion and $12.1 billion and revenue of $12.1 billion and $5.9 billion, but both sit right on top of the $0.06 million Revenue/Employee median. Dine Brands (DIN), with a sub-$500 million equity value and fewer than 1,000 employees, posts $0.89 million of revenue per em5ployee, over 4x the group mean, because more than 3,500 Applebee's and IHOP locations sit in the franchise column rather than on the consolidated payroll, while Brinker (EAT) screens similarly at about $0.29 million of revenue per employee on a system that's nearly 30% franchised globally, showing how the corporate P&L is levered to royalty dollars and ad fees. DRI and TXRH sit at the top of the range with EPS of $9.55 and $6.10, supported by consistent same-restaurant sales growth and, in DRI's case, a portfolio with enough free cash to fund 60+ openings a year while still returning capital via dividends and buybacks, while DIN and EAT both generate respectable mid-single-digit EPS on much lower market caps, which, when paired with their high Revenue/Employee, shows how franchise-heavy models can still print solid earnings even without DRI or TXRH-level system sales. At the other end of the spectrum, BJ's (BJRI) and Kura Sushi (KRUS) have modest EPS, while Red Robin (RRGB) is still negative on earnings despite roughly $1.2 billion of revenue, with investors rewarding scaled and tight platforms like DRI and TXRH, along with lean franchisors like DIN, while deeply discounting concepts that don't yet convert dining-room labor into durable per-share earnings.



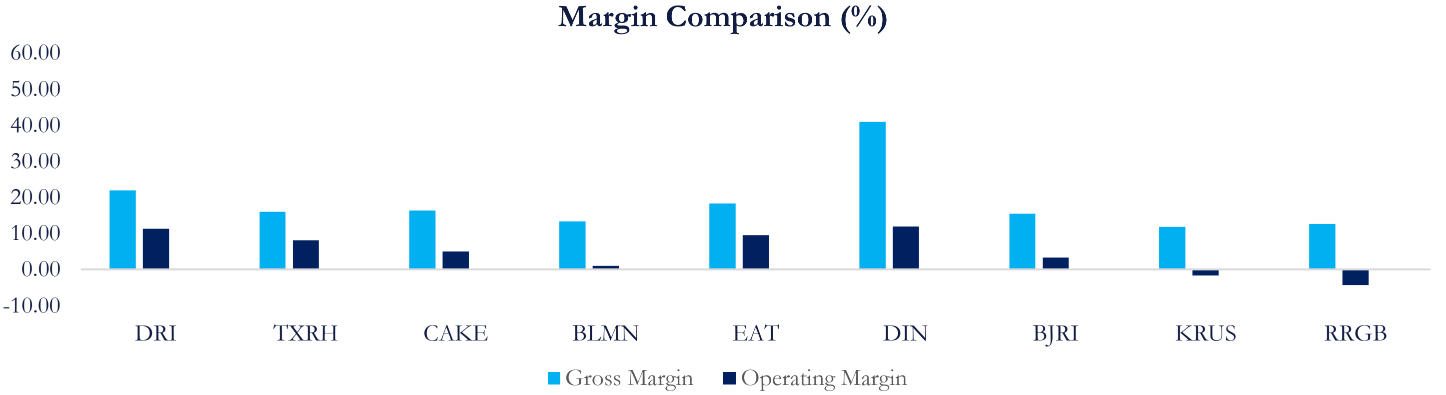
Sources: Bloomberg, Yahoo Finance

PROFITABILITY: CASUAL DINING

$ in millions of USD (As of Q1 2026)

Company	Gross Margin	Operating Margin	Profit Margin	EBITDA ($M)	ROA	ROE	Beta
Darden Restaurants (DRI)	21.88	11.28	8.69	2,292	8.82	54.06	0.61
Texas Roadhouse (TXRH)	15.93	8.08	6.90	681	12.03	28.77	0.64
The Cheesecake Factory (CAKE)	16.31	4.99	3.96	465	4.71	33.74	0.93
Bloomin' Brands (BLMN)	13.31	0.94	0.21	215	0.25	-19.70	0.95
Brinker International (EAT)	18.25	9.51	7.12	901	17.11	177.80	0.70
Dine Brands Global (DIN)	40.86	11.84	1.94	147	0.97	--	0.92
BJ's Restaurants (BJRI)	15.46	3.31	3.49	123	4.75	8.44	1.15
Red Robin Gourmet Burgers (RRGB)	12.57	-4.39	-1.92	80	-8.51	--	1.57
Lower	12.94	-0.37	-0.23	101	-0.35	-1.75	0.67
Median	15.93	4.99	3.49	215	4.71	28.77	0.93
Mean	18.49	4.88	3.30	548	4.35	40.19	1.00
Upper	20.06	10.39	7.01	791	10.42	54.06	1.35

Profitability across the casual dining group is more uneven than the top-line would suggest. Darden (DRI) and Texas Roadhouse (TXRH) set the standard, both are above the peer median operating margin of 5%, with DRI at 11.3% and TXRH at 8.1%, and they convert that into healthy profit margins of 8.7% and 6.9%. Brinker (EAT) is the only other name that comes close, with a 9.5% operating margin and 7.1% profit margin, while most of the remaining operators cluster in the low- to mid-single digits and Red Robin (RRGB) is still negative at the EBIT and net line. DRI and TXRH generate $2.3 billion and $681 million of EBITDA versus a group mean of $548 million, giving them more room to reinvest in remodels and new units. EAT posts the highest ROA at 17.1% and an eye-catching ROE of 177.8%, a function of solid margins layered onto an asset-light, franchise-heavy balance sheet. DRI and The Cheesecake Factory (CAKE) deliver more balanced profiles, with ROA in the mid- to high-single digits and ROE in the 30–55% range, which is what's expected from scaled, company-operated brands running with moderate leverage. At the other end, Bloomin' (BLMN), and RRGB all show very low or negative ROA/ROE, signaling that their current margin structure is not yet sufficient to cover the capital tied up in the business. Most names sit close to 1.0, but RRGB has the highest beta in the group (>1.5), showing the market's view that structurally weaker, sub-scale concepts carry more earnings volatility and equity risk than margin leaders.



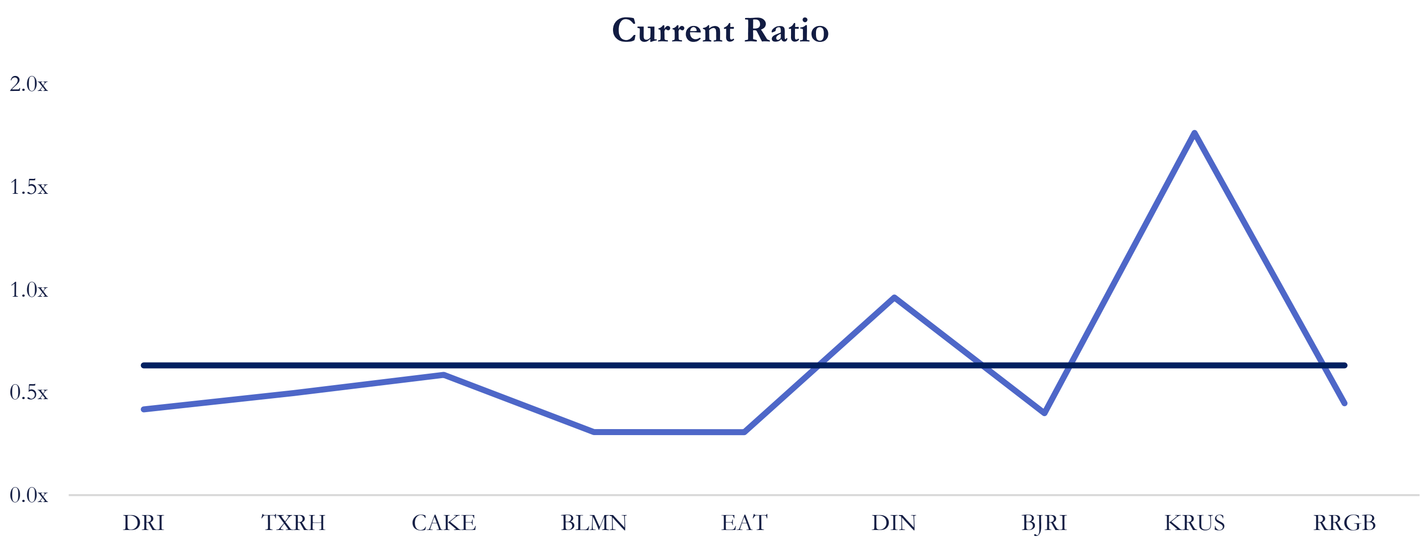
Sources: Bloomberg, Yahoo Finance

LIQUIDITY AND LEVERAGE: CASUAL DINING

$ in millions of USD (As of Q1 2026)

Company	Operating Cash Flow	Current Assets	Total Assets	Current Liabilities	Total Liabilities	Liquidity Current Ratio	Liquidity Cash Ratio	Leverage Debt/ Equity	Leverage Interest Coverage
Darden Restaurants (DRI)	1,699	938	12,587	2,248	10,276	0.42	0.11	336.33	7.42
Texas Roadhouse (TXRH)	730	451	3,549	909	2,068	0.50	0.15	65.92	N/A
The Cheesecake Factory (CAKE)	301	455	3,262	777	2,825	0.59	0.28	488.02	17.93
Bloomin' Brands (BLMN)	277	270	3,172	879	2,835	0.31	0.07	648.45	0.82
Brinker International (EAT)	679	207	2,679	676	2,308	0.31	0.03	456.59	9.64
Dine Brands Global (DIN)	89	352	1,738	366	2,012	0.96	0.35	--	1.33
BJ's Restaurants (BJRI)	111	75	1,015	188	649	0.40	0.13	134.02	N/A
Red Robin Gourmet Burgers (RRGB)	37	89	564	199	670	0.45	0.10	--	0.11
Lower	63	82	789	193	1,005	0.35	0.08	73.57	0.11
Median	277	270	2,679	676	2,188	0.45	0.13	336.33	1.33
Mean	439	324	3,222	698	2,955	0.63	0.30	314.70	-4.40
Upper	705	453	3,406	894	2,832	0.77	0.31	488.02	9.64

The analysis of liquidity and leverage across the casual dining peer group highlights a sector characterized by constrained short-term liquidity and elevated leverage, underscoring its reliance on consistent cash flow generation. The median current ratio of 0.45 suggests that most operators maintain limited working capital buffers, with companies such as DRI, TXRH, and BLMN clustering near this level, reflecting standardized liquidity management practices across the industry. From a leverage perspective, the group exhibits high debt levels, with a median debt-to-equity ratio exceeding 300%, driven by the capital-intensive nature of full-service dining and the use of debt to fund expansion and shareholder returns. Interest coverage ratios further differentiate financial resilience, with companies like CAKE and EAT demonstrating stronger ability to service debt, while lower coverage among peers such as RRGB suggests heightened sensitivity to earnings volatility and rising interest costs. Overall, the sector's financial profile reflects a balance between stable cash flow generation and structural leverage, making balance sheet strength a key differentiator in navigating ongoing cost and demand pressures.



Sources: Bloomberg

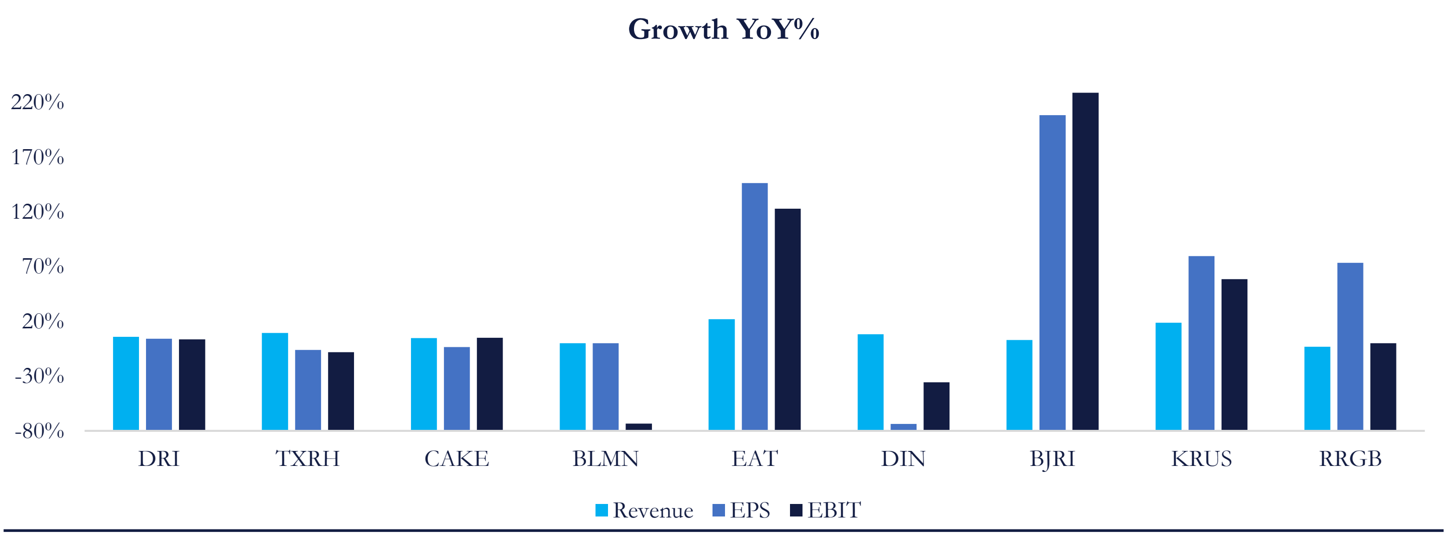
VALUATION AND GROWTH: CASUAL DINING

$ in millions of USD (As of Q1 2026)

Company	Valuation Metrics					Growth (YoY%)		
	EV/ EBITDA	EV/FCF	Price/ Book	Price/ Earning	Price /Sales	Revenue	EPS	EBIT
Darden Restaurants (DRI)	12.90	31.69	11.28	20.21	1.89	6.03	4.07	3.66
Texas Roadhouse (TXRH)	15.35	28.61	7.77	28.17	1.94	9.39	-6.00	-8.09
The Cheesecake Factory (CAKE)	8.21	15.67	7.11	14.90	0.78	4.75	-3.35	5.03
Bloomin' Brands (BLMN)	5.75	9.41	1.51	5.40	0.13	0.14	--	-73.42
Brinker International (EAT)	10.11	17.19	16.04	13.95	1.09	21.95	146.42	123.00
Dine Brands Global (DIN)	7.05	12.32	--	8.33	0.48	8.25	-73.70	-35.62
BJ's Restaurants (BJRI)	6.98	11.70	2.10	16.17	0.57	3.08	208.33	228.91
Red Robin Gourmet Burgers (RRGB)	4.04	6.52	--	--	0.06	-3.07	73.43	--
Lower	6.36	9.98	2.10	8.33	0.30	1.61	-5.34	-28.73
Median	8.21	14.00	7.11	14.90	0.78	6.03	38.75	4.34
Mean	12.29	16.64	6.99	15.30	1.04	7.71	53.62	37.76
Upper	14.13	25.76	11.28	20.21	1.92	14.14	129.75	106.90

The year-over-year growth for the casual dining space can be seen in the chart below. Regarding revenue growth, Brinker International (specifically, Chili's) and Texas Roadhouse (TXRH) are leading the comparable median driven by a loyal customer base and strong same-strong-sales. This growth can be seen through the promotion of a successful brand image and eye-catching deals that get patrons through the door. It is important to note weak growth in the space seen through Bloomin' Brands (BLMN) and Red Robin (RRGB). These companies have lost market share and are growing (or decelerating) well below the comparable median of 6%.

The most widely used valuation metric for the casual dining vertical is EV/EBITDA. The same companies who have reported consistent and strong revenue growth are trading at the highest multiples. TXRH at 15.35 and Darden at 12.90 – investors are paying a premium because of quality. RRGB trades at the lowest, showing low investor sentiment. EV/FCF is another important metric as cash flows give direct insight on the health of the company, especially for bigger, publicly-traded chains seen in this comparable universe. DRI and TXRH once again lead the category through demonstrated success and expectations.



Sources: Bloomberg

BBR BULL & BEAR RESEARCH

Comparable Company Analysis: Quick Service Restaurants (QSRs)

PEER UNIVERSE: QSRs

Logo	Company	Ticker	Description	Market Capitalization ($B)
	McDonalds	MCD	The world's largest QSR chain with ~40,000 locations across 100+ countries, generating ~$25B in revenue through a ~95% franchised, royalty-and-rent-driven model.	242
	Starbucks	SBUX	The world's largest specialty coffee chain with ~40,000 stores globally, generating ~$36B in revenue with a loyalty-driven model and high-margin beverage mix.	111
	Chipotle Mexican Gril	CMG	Fast-casual Mexican chain with ~3,700 company-owned locations, generating ~$11B in revenue with no franchising and industry-leading same-store sales growth.	48
	YUM! Brands	YUM	Parent of Taco Bell, KFC, and Pizza Hut, operating ~60,000 restaurants across 155+ countries, nearly 100% franchised with strong recurring royalty-fee revenue.	46
	Restaurant Brands International	QSR	Owner of Burger King, Tim Hortons, Popeyes, and Firehouse Subs, operating ~30,000 restaurants globally through a capital-light, ~100% franchised model.	33
	CAVA Group	CAVA	Fast-casual Mediterranean chain with ~350+ company-owned locations, one of the fastest-growing restaurant IPOs with strong AUVs and expanding margins.	9.6
	Sweetgreen	SG	Fast-casual salad and grain bowl chain with ~230 company-owned locations, still in early growth mode with improving unit economics but not yet consistently profitable.	0.7
	Krispy Kreme	DNUT	Iconic doughnut brand with ~15,000 points of access globally, expanding through a capital-efficient hub-and-spoke model with delivered fresh daily partnerships.	0.6
	Dine Brands	DIN	Parent of Applebee's and IHOP, operating ~3,400 restaurants almost entirely through franchisees, generating stable royalty and rental income.	0.4

This collection of companies represents a diverse set of brands, for a multitude of reasons, within the quick service restaurant sector. From this chart, the clearest difference is the variation of market caps. Having a diverse set of names to look at gives the analyst an opportunity to compare the operations of companies at differing scale. Scale can also be represented in the diverse geographic regions in which these companies operate in. Many of the names on this list solely operate in the United States – focusing on premiumization within their category as in Sweetgreen (SG) with only 281 locations. Contrast this with McDonalds (MCD) with nearly 42,000 locations across the globe. Understanding how operators undertake cost and production at scale is crucial in grasping a solid view of the sector. Finally, these nine companies create different cuisines at different price points and therefore cater to a different client. For this reason, profitability metrics, specifically margin, will vary across the product offering. Finally, this opportunity set allows the analyst to understand a crucial difference within the restaurant space: franchised restaurants vs. wholly-owned.

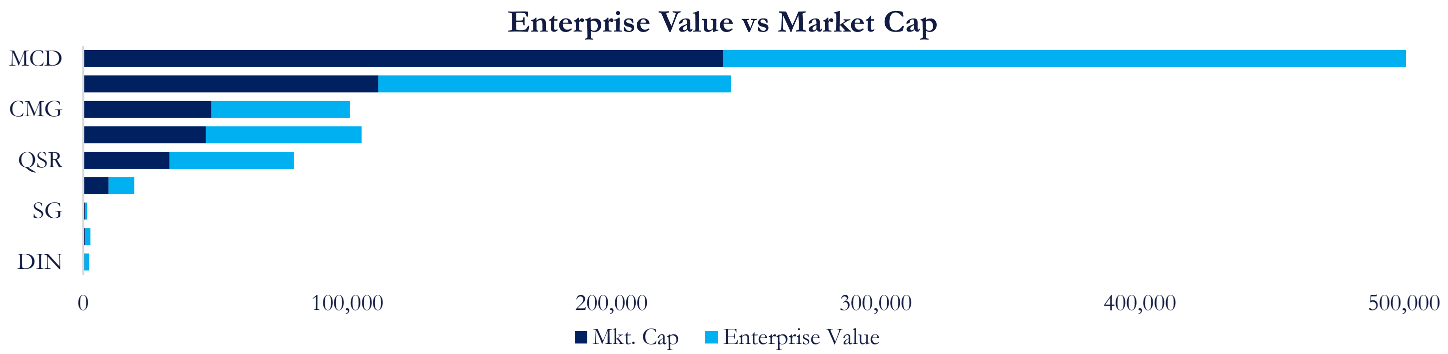
Sources: Bloomberg, MCD, Pitchbook, SG

COMPANY INFORMATION: QSRs

$ in millions of USD (As of Q1 2026)

Company	Mkt. Cap	Enterprise Value	Share Price	Revenue	Employees	Revenue/ Employee	Adjusted EPS
McDonalds (MCD)	242,289	296,328	341.06	26,885	150,000	0.18	2.77
Starbucks (SBUX)	111,674	133,554	98.02	37,184	381,000	0.10	0.41
Chipotle Mexican Grill Inc (CMG)	48,476	52,503	37.22	11,926	130,301	0.09	0.24
Yum! Brands Inc (YUM)	46,484	58,964	168.16	8,214	49,000	0.17	1.38
Restaurant Brands Int Inc (QSR)	32,642	47,158	71.71	9,434	53,500	0.18	0.82
CAVA Group Inc (CAVA)	9,598	9,671	82.47	1,180	12,900	0.09	0.17
Sweetgreen Inc (SG)	659	886	5.55	679	6,407	0.11	-0.22
Krispy Kreme Inc (DNUT)	643	2,074	3.75	1,523	21,000	0.07	-0.04
Dine Brands Global Inc (DIN)	404	1,876	30.93	879	992	0.89	1.03
Lower	651	1,975	18.24	1,029	10,055	0.09	0.06
Median	32,642	47,158	71.71	8,214	51,250	0.14	0.41
Mean	54,763	67,002	93.21	10,878	99,025	0.22	0.73
Upper	80,075	96,259	133.09	19,405	140,151	0.18	1.20

This peer universe offers a wide range of scale, led by McDonald's (MCD) with a dominant market cap of $242 billion, trading at more than double that of Starbucks (SBUX), while other brands don't come close, with players like Sweetgreen (SG), Krispy Kreme (DNUT), and Dine Brands (DIN) all trading below $1 billion. CAVA, though still an early-stage company, commands a $9.6 billion market cap due to its rapid unit expansion growth. Despite its massive market cap, MCD only generates $26.9 billion in revenue, compared to SBUX $37.2 billion, reflecting MCD's highly franchised, asset-light business model that prioritizes quality of earnings over top-line items. Enterprise Value closely tracks most names' market caps, though Restaurant Brands (QSR) and DIN show larger spreads, reflecting higher debt loads relative to equity. Looking at revenue in relation to workforce, DIN stands out with $0.89 of revenue per employee, far above the peer mean of $0.22, emphasizing its franchise-heavy operating structure and lean model with under 1,000 employees, while competitors like Chipotle (CMG) and SBUX sit at the bottom due to their large hourly workforces. Adjusted EPS tells a similar story as Revenue/Employee efficiency, with mature franchisors like MCD and YUM leading, whereas SG and DNUT remain unprofitable as they prioritize unit growth over near-term profitability.



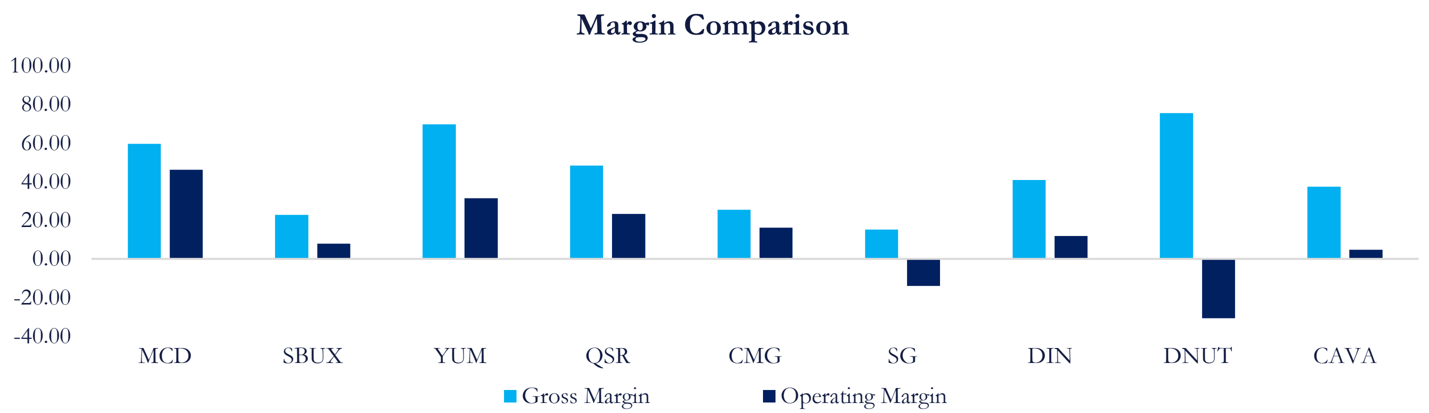
Sources: Bloomberg, Yahoo Finance

PROFITABILITY: QSRs

$ in millions of USD (As of Q1 2026)

Company	Gross Margin	Operating Margin	Profit Margin	EBITDA ($M)	ROA	ROE	Beta
McDonalds (MCD)	59.51	46.10	31.85	16,223	14.93	N/A	0.50
Starbucks (SBUX)	22.77	7.90	4.99	6,805	4.27	N/A	1.10
Chipotle Mexican Grill Inc (CMG)	25.38	16.23	12.88	2,838	16.88	47.36	0.93
Yum! Brands Inc (YUM)	69.77	31.34	18.98	2,889	20.91	N/A	0.54
Restaurant Brands Int. Inc (QSR)	48.24	23.22	8.23	2,188	3.09	23.01	0.54
CAVA Group Inc (CAVA)	37.42	4.69	5.40	197	5.04	8.64	1.51
Sweetgreen Inc (SG)	15.24	-14.09	-19.73	23	-13.47	-26.47	1.58
Krispy Kreme Inc (DNUT)	75.53	-30.82	-33.87	220	-18.02	-55.18	1.36
Dine Brands Global Inc (DIN)	40.86	11.84	1.94	147	0.97	N/A	0.92
Lower	24.07	-4.70	-8.89	172	-6.25	-40.83	0.54
Median	40.86	11.84	5.40	2,188	4.27	8.64	0.93
Mean	43.86	10.71	3.41	3,503	3.84	-0.53	1.00
Upper	64.64	27.28	15.93	4,847	15.90	35.18	1.43

Margin profiles across the peer universe highlight the variation in business models and stages of maturity. The highest gross margins come from YUM! Brands (YUM) and Krispy Kreme (DNUT), with margins of 69.8% and 75.5% respectively, however Krispy Kreme's operating margin of -30.8% reveals that high product margins are being consumed by large overhead and distribution costs. McDonald's (MCD) stands out as the most operationally efficient in the group, maintaining high margin levels from revenue to operations. The spread between gross and operating margins across the group illustrates how franchisors like MCD and YUM absorb much less overhead than their operator-heavy counterparts like DNUT and SG. MCD's EBITDA superiority stands out as well, with $16.2B in EBITDA being almost 3x its closest peer. SG and DNUT are both struggling with negative ROA and ROE, while Chipotle (CMG) leads the group with a 47.4% ROE and positive margins across the board, showing how effectively they are balancing growth and profitability. The mean beta of 1.00 hides the widespread range of risk this peer universe offers, with high growth names like SG (1.58) and CAVA (1.51) carrying higher market risk than that of their more defensive competitors like MCD (0.50) and YUM (0.54).



Sources: Bloomberg, Yahoo Finance

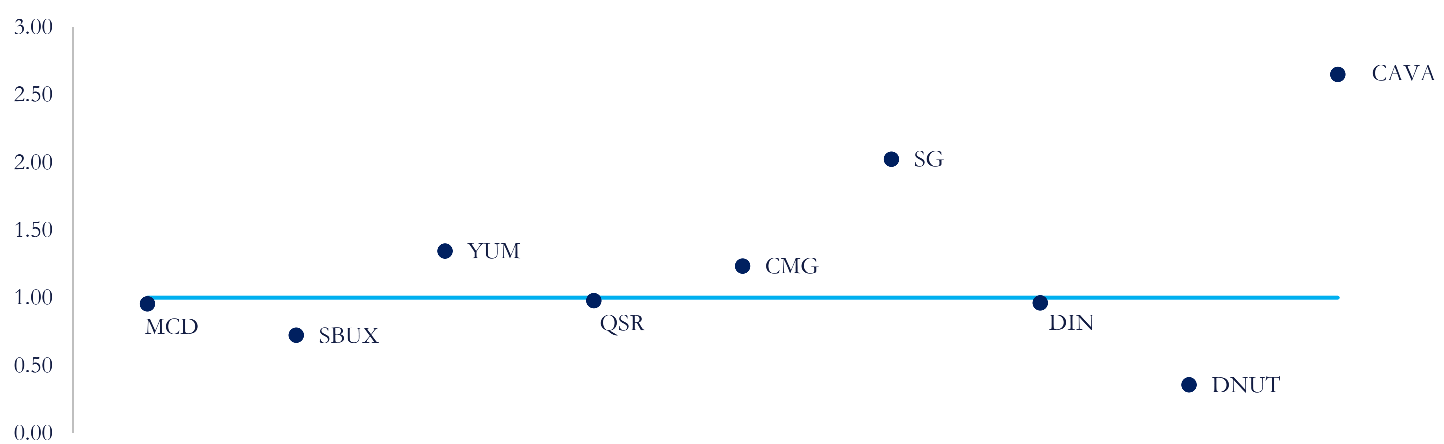
LIQUIDITY AND LEVERAGE: QSRs

$ in millions of USD (As of Q1 2026)

Company	Operating Cash Flow	Current Assets	Total Assets	Current Liabilities	Total Liabilities	Liquidity: Current Ratio	Liquidity: Cash Ratio	Leverage: Debt/Equity	Leverage: Interest Coverage
McDonalds (MCD)	10,551	4,163	59,515	4,361	61,306	0.95	0.18	N/A	7.69
Starbucks (SBUX)	4,748	7,382	32,020	10,210	40,109	0.72	0.34	N/A	5.41
Chipotle Mexican Grill Inc (CMG)	2,114	1,467	8,995	1,188	6,164	1.23	0.88	179.32	N/A
Yum! Brands Inc (YUM)	2,010	2,040	8,197	1,516	15,521	1.35	0.47	N/A	5.14
Restaurant Brands Int. Inc (QSR)	1,714	2,830	25,615	2,891	20,456	0.98	0.40	303.92	4.01
CAVA Group Inc (CAVA)	185	431	1,360	163	580	2.65	2.42	59.80	N/A
Sweetgreen Inc (SG)	43	235	857	116	411	2.02	0.77	74.13	-373.84
Krispy Kreme Inc (DNUT)	46	173	3,072	486	1,908	0.36	0.09	116.18	-7.13
Dine Brands Global Inc (DIN)	89	352	1,738	366	2,012	0.96	0.35	N/A	1.33
Lower	67	293	1,549	264	1,244	0.84	0.26	66.96	-7.13
Median	1,714	1,467	8,197	1,188	6,164	0.98	0.40	116.18	4.01
Mean	2,389	2,119	15,708	2,366	16,496	1.25	0.65	146.67	-51.06
Upper	3,431	3,497	28,817	3,626	30,282	1.69	0.83	241.62	5.41

Liquidity is low across the group, with most names having current ratios below 1.0x. While this is largely due to the industry's negative working capital business model, it is important to note that strong cash flows can offset what may seem like surface level liquidity issues. McDonalds (MCD) and Starbucks (SBUX) are great examples of this, with operating cash flows of $10.6 billion and $4.7 billion that provide plenty of coverage for any near-term obligations. CAVA and Sweetgreen (SG) are outliers with current ratios of 2.65x and 2.02x respectively, reflecting their unlevered business model as they focus on growth and expansion. Restaurant Brands (QSR) debt/equity ratio of 303.9x stands out as well, putting them at refinancing risk and leaving little flexibility should their performance decline. Krispy Kreme (DNUT) is under pressure on both fronts, with a current ratio and interest coverage of 0.36x and -7.1x, highlighting the risks of taking on debt with unprofitable operations. SG's interest coverage of -373.8x further defines the broader danger that loss-making operators are facing, where additional debt is compounding on an already pressured balance sheet. In contrast, mature franchisors like MCD (7.69x) and SBUX (5.41x) highlight the benefits of an asset-light business model, using royalty-driven cash flows to pay off debt loads.

Current Ratio - Peer Comparison



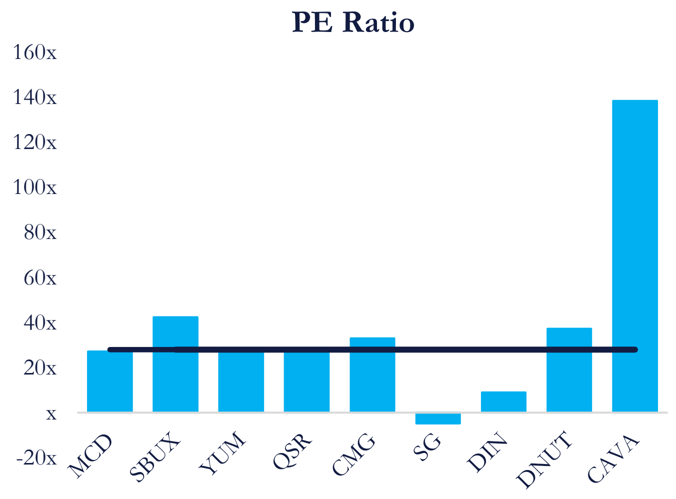
Sources: Bloomberg

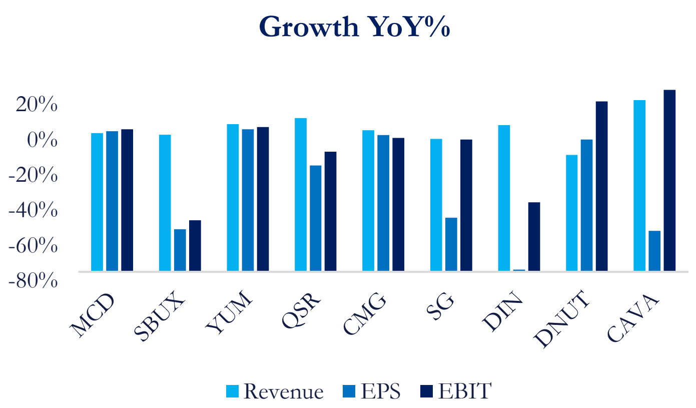
VALUATION AND GROWTH: CASUAL DINING

$ in millions of USD (As of Q1 2026)

	Valuation Metrics					Growth (YoY%)		
Company	EV/ EBITDA	EV/FCF	Price/ Book	Price/ Earning	Price /Sales	Revenue	EPS	EBIT
McDonalds (MCD)	16.45	40.59	--	27.23	8.89	3.72	4.80	5.81
Starbucks (SBUX)	14.05	35.13	--	42.34	2.96	2.79	-50.90	-45.71
Chipotle Mexican Grill Inc (CMG)	18.27	27.23	17.53	33.00	4.27	5.41	2.68	1.02
Yum! Brands Inc (YUM)	18.07	32.44	--	27.98	5.62	8.81	5.87	7.12
Restaurant Brands Int. Inc (QSR)	18.65	26.17	6.66	26.52	2.44	12.23	-14.59	-6.77
CAVA Group Inc (CAVA)	34.42	109.20	12.47	138.46	8.32	22.41	-51.75	28.22
Sweetgreen Inc (SG)	105.99	--	1.85	--	1.07	0.39	-44.30	--
Krispy Kreme Inc (DNUT)	10.24	106.62	0.98	37.28	0.43	-8.57	--	21.64
Dine Brands Global Inc (DIN)	9.78	12.95	--	8.96	0.51	8.25	-73.70	-35.62
Lower	14.05	26.96	1.85	27.05	1.07	2.79	-51.12	-13.98
Median	18.07	33.78	6.66	30.49	2.96	5.41	-29.45	3.42
Mean	27.32	48.79	7.90	42.72	3.83	6.16	-27.74	-3.04
Upper	18.65	57.10	12.47	38.54	5.62	8.81	3.21	10.75

For the price to earnings, we see significant variance across companies with differing growth profiles, profitability, and market positioning. CAVA traders at a higher multiple in line with HYPE surrounding the stock. The 138.46x multiple is due to the decade-long unit expansion story, 22.4% CAGR revenue growth, and stabilizing EBIT margins. The legacy franchises such as MCD and YUM which how have stable and predictable demand and cash flow growth are trading near the median PE cluster. SBUX, with its PE of 42.34x demands the highest multiple and a premium over its competition because it is still viewed as a turnaround story, given traffic trends remain stable.





There is significant dispersion across the peer group for the price-to-earnings ratio. This reflects the markets differentiation between the high-growth players and the mature firms. CAVA's 138.46x PE is nearly five times the peer group's median of 30.49x as markets price in the decade-long unit expansion plan and historical 22.4% revenue CAGR. Notably, SBUX carries a 42.34x multiple despite deteriorating EPS (-50.9% YoY), suggesting the market is still pricing in a successful turnaround. This highlights the street's conviction in management and the growth plan rather than purely accounting for backward facing metrics.

Sources: Bloomberg

BBR

BULL & BEAR RESEARCH

Initiating Coverage: Texas Roadhouse (TXRH)

BBR BULL & BEAR RESEARCH

Bull & Bear Research
Consumer| Restaurant Industry
03/30/2026

Texas Roadhouse (NYSE: TXRH)

Texas Roadhouse is a casual dining company founded in 1993 and headquartered in Louisville, Kentucky. The core brand is a high-energy, value-oriented steakhouse built around hand-cut steaks, made-from-scratch sides, and a loud atmosphere. The company and its franchisees operated just over 800 restaurants system-wide across the U.S. and select international markets, with the vast majority company-owned.

Differentiation and Strategy

TXRH differentiates itself by competing on throughput and everyday value, instead of promotional discounting. Each restaurant runs an in-house butcher shop and scratch kitchen, which allows the brand to control quality and portion size while keeping price points sharp, particularly through Early Dine and fixed-price bundles. The stores are intentionally busy, line dancing, visible prep, and a strong bar presence are designed to keep tables turning and drive group occasions, supporting average-unit volumes above $8 million, at the top of the full-service peer set. Strategically, management is using that economics to fund steady company-owned growth in core Roadhouse markets while ramping Bubba’s 33 and Jaggers in adjacency. The focus is to keep Texas Roadhouse positioned as the value leader in steak-focused casual dining and layer incremental growth from the two smaller concepts without diluting the core brand.

Financial Performance

Texas Roadhouse (TXRH) reported Q4 2025 revenue of $1.5 billion with sales growth of 4.2%, which accelerated to 8.2% during the first seven weeks of 2026. Restaurant margins remain under pressure due to beef inflation, leading to a Q4 2025 margin of 13.6% and a 26.1% y/y decrease in diluted EPS to $1.28. Management maintains a long-term margin target of 17%-18%, supported by a 1.9% price increase planned for April 2026 and ongoing technological investments like digital kitchens.

Recent Acquisitions

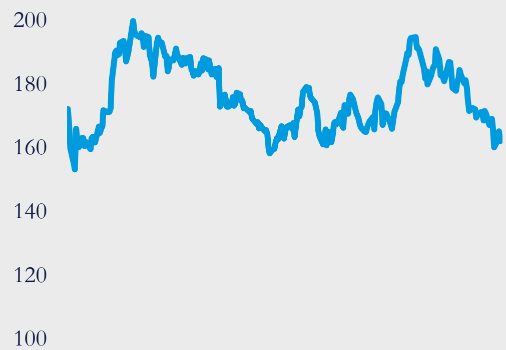
Growth has been mostly organic, but TXRH has selectively used small acquisitions to consolidate high-performing franchise territories. In recent years the company has bought back a number of franchised Texas Roadhouse restaurants, increasing the share of system sales captured on the corporate P&L and tightening control over operations and marketing.

Considerations

The primary risks include persistent beef inflation especially as management often prioritizes consumer value over aggressive pricing. Analysts also point to execution risks from expansion into concepts like Bubba’s 33 and the brand’s sensitivity to macroeconomic downturns. Furthermore, the stock’s valuation premium relative to peers may limit future multiple expansion if earnings revisions turn negative.

Stock Rating	**Buy**
BBR Price Target	$**221.69**
Price (03/30/2026)	$162.32
Ticker	TXRH
Exchange	NYSE

52 Week Range	$153.22-$199.80



Research Team

Stephen Corrou – Director
Kelly Yam – Associate
Jaiveer Kumar – Analyst
Thomas McCarthy – Analyst
Dylan Fetterman – Analyst

Ratios

	TXRH	**Peers**
Current Ratio	0.50	0.63
Adjusted EPS	6.10	3.68
P/E	28.17	15.30

Stock Information

Market Cap (B)	$12.06
Shares Outs. (M)	65.93
Free Float	88.7%
Dividend Yield	1.85%

Sources: CNBC, Bloomberg, Yahoo Finance

CATALYSTS

Accelerated Unit Growth

Texas Roadhouse is targeting approximately 35 company-owned restaurant openings in 2026 across its three brands, with management expecting total store growth of 5% to 6% supported by new builds and a healthy pace of franchise acquisitions. A key component is the acquisition of domestic franchise locations, which provides immediate EPS accretion — on the first day of fiscal 2026 the company completed the acquisition of five California franchise restaurants, continuing a trend that saw 20 franchise units acquired the prior year. The scaling of Bubba's 33, which already achieves an average unit volume of $6.28 million, represents a significant long-term driver as the concept accelerates to 10 openings in 2026 versus 7 in 2025.

Strategic Pricing and Traffic Momentum

Texas Roadhouse has sustained a remarkable streak of traffic-led same-store sales growth, with SSS accelerating to 8.2% in the first seven weeks of 2026 despite a 1.5% net weather headwind, with analysts estimating full year 2026 SSS of 6.1%. Management has announced a 1.9% menu price increase effective early April 2026, bringing total effective pricing to approximately 3.6% for Q2 and Q3, while deliberately under-pricing inflation to maintain its value leadership positioning relative to peers. The company's unique Managing Partner model, where operators are incentivized with 10% of pre-tax profits, drives low manager turnover and consistently high operational standards that sustain traffic momentum year after year. For this reason, TXRH's managers have an average tenure of 3.3 years, above the average.

Margin Stabilization

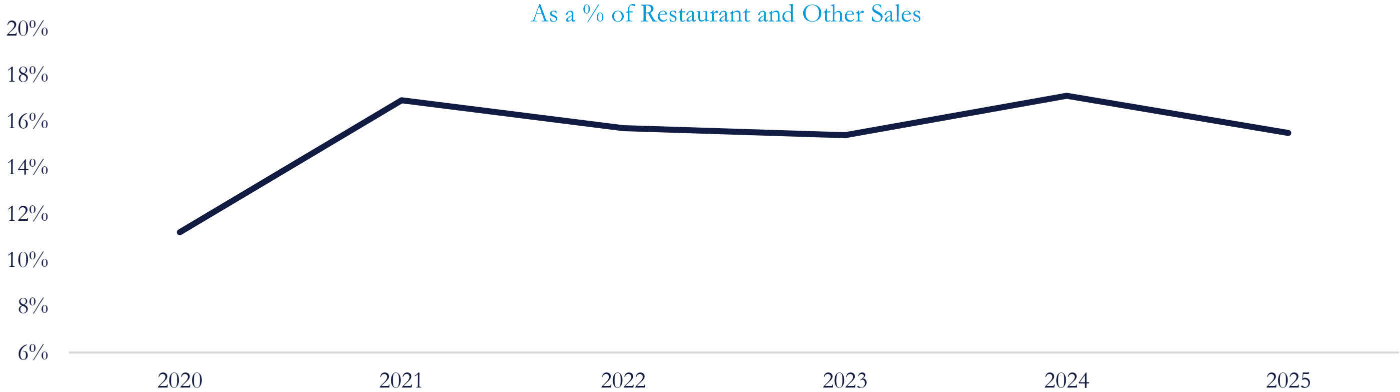
Restaurant-level margins fell to 13.9% in Q4 2025, significantly below the company's long-term target of 17%-18%, driven almost entirely by beef cost inflation guided at 7% for 2026. However, live cattle futures are currently in backwardation, implying prices are expected to moderate in late 2026 and into 2027, and the potential reopening of Mexican cattle imports in the second half of 2026 could provide meaningful supply relief. With approximately 45% of forecasted 2026 commodity costs already locked via fixed-price contracts, analysts note that any inflation print below the 7% guidance could drive significant earnings revisions to the upside. While this likely may not be the case, TXRH would drastically benefit from a decrease in fixed costs

Operational Efficiency via Tech Rollout

Texas Roadhouse has completed a major technological overhaul, with digital kitchen display systems and upgraded guest management tools now deployed in 95% of domestic restaurants, streamlining operations and ensuring all items for a table are plated simultaneously. A significant forward-looking catalyst is the planned rollout of server handheld tablets, which improve order accuracy and table turns during peak hours when demand exceeds seating capacity. The new guest management system (AGM 2.0) provides operators with real-time data to better manage waitlists and reduce walk-aways, collectively representing a fundamental modernization that should drive labor productivity and higher guest volumes over time.

Restaurant Margin

As a % of Restaurant and Other Sales



Sources: Bloomberg, CNBC

ALTERNATIVE VALUATIONS

Consensus Rating	Price Analysis (3Y, USD)

Average Price Target: $197.04

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Consumer Coverage	03/30	Buy	$221.69
TD Cowen a division of TD Securities	Andrew Charles	03/16	Buy	$215.00
MELIUS RESEARCH	Jacob Aiken-Phillips	03/12	Buy	$220
PIPER SANDLER	Brian Mullan	03/02	Neutral	$190
J.P.Morgan	John Ivankoe	02/23	Neutral	$182
BMO	Andrew Strelzik	02/20	Neutral	$165
Deutsche Bank	Lauren Silberman	02/20	Buy	$205
Morgan Stanley	Brian Harbour	02/20	Overweight	$202
UBS	Dennis Geiger	02/20	Buy	$210

Select Commentary

JP Morgan **Rating: Neutral** **Price Target:** $182

- Price target based on a 22x multiple of 2027E EPS of $8.10, a premium to casual dining peers given TXRH's strong traffic, value proposition, and net cash balance sheet.
- 4Q25 company comps of +4.2% and QTD 1Q26 comps of +8.2% outperformed an essentially flat industry, reflecting sustained share gains despite higher beef costs.
- Elevated prime costs at 69.6% pressured 4Q25 store margins to 13.9%, below JPM's 15.5% forecast, but JPM expects gradual margin recovery to 16%+ by 2027 as beef inflation normalizes.
- JPM forecasts 2026E EPS of $6.15 and free cash flow of roughly $280 million per year after $140 million of buybacks, supporting continued unit growth and shareholder returns.

Research Team:

John Ivankoe

Rahul Krotthapalli

Christabel Rocha

Sources: Bloomberg

BBR BULL & BEAR RESEARCH

Initiating Coverage: CAVA Group (CAVA)

Bull & Bear Research
Consumer| Restaurant Industry
03/30/2026

CAVA Group (NYSE: CAVA)

CAVA Group is a quick-service Mediterranean restaurant company founded in 2006, and headquartered in Washington D.C. It is one of the fastest growing fast-casual concepts in the United States, projected to have 500 locations open by the end of FY26, focusing on unit growth and expansion.

Differentiation and Strategy

CAVA differentiates itself from the broader quick service landscape through its category-defining position in Mediterranean dining, a segment with no dominant national competitor at scale. Unlike come of its peers, CAVA operates with an entirely company-owned business model, giving them direct control over food quality, guest experience, and unit economics. The brands customizable menu featuring bowls and pitas appeals broadly across demographics, with health-conscious eating trends directly increasing their consumer demand. CAVA's renovation of their loyalty program has also increased consumer demand, with a revamped, three-tiered program accounting for 33% of sales since introduction. Its brand reach is further extended through a company-owned line of dips, spreads, and dressings sold nationally in retail stores. This mix of brand differentiation, untapped market potential, operational control, and digital capability support durable traffic growth and a path towards CAVAs long term target of opening at least 1,000 restaurants by 2032.

Financial Performance

CAVA has generated a trailing revenue of $1,180 million, reflecting their 22.41% YoY growth, leading the QSR peer universe by a wide margin where the median sits at 5.41%. A gross margin of 37.42% lies near the peer median of 40.86%, though operating and profit margins of 4.69% and 5.40% respectively are below their more mature competitors, consistent with CAVAs continued reinvestment in unit growth. EBITDA of $197 million and operating cash flows of $185 million underscore the earnings power of their restaurant model, despite thin reported margins.

Recent Acquisitions

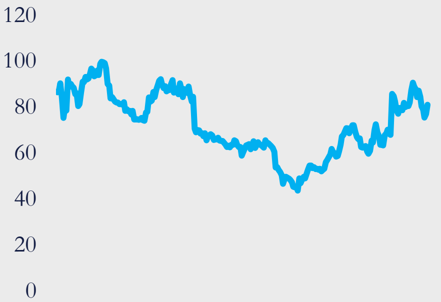
Zoes Kitchen (Nov 2018) – $300 million all cash acquisition of a Mediterranean fast-casual chain, expanding their reach and offerings, rebranding locations as CAVA or closing them over following years.

Considerations

As of early 2026, CAVA has been consistently focused on organic unit growth, with a target of 74-76 net new openings and a 3%-5% same-location sales growth in FY26. Key risks include maintaining momentum with slowed guest traffic, and rising input costs from tariffs and wages, which are expected to further compress restaurant-level margins for the coming year. To continue their success, CAVA must execute at scale across newer locations and geographies as they expand in 2026.

Stock Rating	**Buy**
BBR Price Target	**$94.92**
Price (03/30/2026)	$76.94
Ticker	CAVA
Exchange	NYSE

52 Week Range	$43.59-$99.70



Research Team

Stephen Corrou – Director
Kelly Yam – Associate
Thomas McCarthy – Analyst
Jaiveer Kumar – Analyst
Dylan Fetterman – Analyst

Ratios

	CAVA	**Peers**
Current Ratio	2.65	1.25
Adjusted EPS	.17	0.73
P/E	138.46	42.72

Stock Information

Market Cap (B)	$9.59
Shares Outs. (M)	116
Free Float	93.3%
Dividend Yield	0.00%

Sources: Bloomberg, CAVA, JP Morgan, MacroTrends, Yahoo Finance

CATALYSTS

Guidance for 1,000+ stores by 2032

CAVA's most aggressive growth catalyst is their unit expansion towards management's guided 1,000 unit target. By 2026, CAVA is expected to exceed 500 locations and over 1,000 by 2032. Currently, unit openings are close to 80 per year, growing at an increasing pace. Reaching this milestone will prove their sustained business model and will only be possible if crucial metrics like SSSG are grown. The unit-economics of CAVA is what makes their expansion story attractive. Since they operate on a company owned model, each extra unit's revenues, which is close to $2.5 million currently, will flow entire through CAVA's financials. With average build costs for a new location ranging between $1-$1.3 million, CAVA's growth is not only accelerating, but also efficient.

Loyalty Program Monetization

CAVA's loyalty program has been an increasingly important factor in their growth. With approximately 33% of topline being attributed to the three-tiered program, the customer acquisition cost (CAC) is meaningfully decreasing. With a plan to have the loyalty program account for closer to half of all revenues, CAVA's average ticket value will increase while strengthening loyalty. This is realized in CAVA's loyalty customers visiting 2.0x more frequently than non-loyalty repeat customers. Additionally, average ticket value is between 10% - 20% higher at $15.5 for loyalty users. Finally, this program is sustainable as CAVA's redemption rate, the value users derive from loyalty programs, is 30% higher than other QSRs.

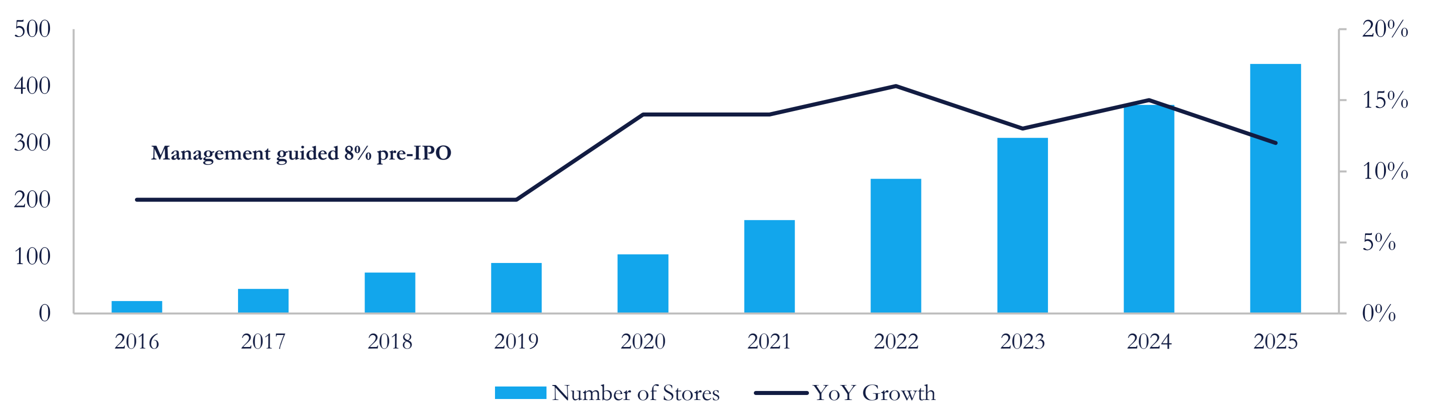
Margin Expansion Through Leverage

While CAVA's margins remain below mature players, this number has been improving with scale. Net Income Margins hover between the 5.5%-6.0% range quarterly. This is largely due to two factors. First, CAVA is still in its early-stage growth, which has resulted in elevated spending in management salary and advertisement G&A. Guidance for G&A is to decrease by 2%-4% of revenue over three years. Second, since CAVA is operated on a company-run model, expansion costs are entirely allocated to CAVA. With a strengthening business model and a predictable growth, lenders will anticipate lower rates, allowing CAVA increase its Debt/Equity from 0.6x. Using debt at a cheaper cost and G&A spend decreasing couped with SSSG growing at 5%-8% per store annually will bring CAVA's margins closer to those of established peers.

Pricing Power & Brand Premiumization

As the brand solidifies itself in the fast-casual space, which is associated with mildly inelastic demand, they can increase prices at a sustained level. For example, CAVA currently raises prices in the mid-single digit range at 3%-5% annually. Additionally, this can be sustained as CAVA operates in a market with increasing importance on healthy fast-food. Furthermore, as the only Mediterranean player, CAVA benefits from a differentiated position in a market where 83% of millennials and 77% of Gen Z prefer to buy specialty/unique food, reinforcing its durable competitive advantage. Additionally, the firm's made-to-order model gives consumers a sense of control over what they are eating, linking up with the trend of people focusing more on healthy alternatives and caring about what goes into their food.

Store Growth & SSSG



Sources: 10-K, Bloomberg, Earnings Call, Press Releases, Yahoo Finance

ALTERNATIVE VALUATIONS

Consensus Rating

Average Price Target: $84.30

Price Analysis (2Y, USD)

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Consumer Coverage	**03/30**	**Buy**	**$94.92**
AllianceBernstein	Danilo Gargiulo	03/17	Outperform	$84.00
J.P.Morgan	John W Ivankoe	03/16	Overweight	$80.00
TD Cowen a division of TD Securities	Andrew M Charles	03/16	Buy	$90.00
Melius Research	Jacob Aiken-Phillips	03/12	Hold	$90.00
citi	Jon Tower	03/10	Neutral	$75.00
Wolfe Research	Maragret-May Binshtock	03/09	Outperform	$93.00
D.A. Davidson	Matt Curtis	03/05	Neutral	$80.00
KeyBank	Christropher Carril	03/02	Overweight	$95.00

Select Commentary

JP Morgan **Rating: Overweight** **Price Target:** $80.00

- Price target increased from $75.00 to $80.00 (+6.25%) based on many factors, led by CAVAs commitment to reinvesting in growth and expansion.
- The overweight rating is driven by a $390 million cash + investment position, high multi-market averages, new unit volumes, and brand improvement opportunities.
- Projected to reach 500 stores in F26, and CAVAs three-tiered loyalty program (introduced in October 2025) continues to dominate accounting for 33% sales.
- JP Morgan continues to view CAVA as strong long-term overweight pick.

Research Team:

John Ivankoe
Rahul Krotthapalli
Christabel Rocha

Sources: Bloomberg

Closing Remarks

Industry Resilience and Divide

As we look ahead through 2026, the QSR and casual dining landscape is driven less by broad recovery and more by competitive separation. Post-pandemic inflation, labor disruption and consumer priorities shifting have created a market where winners in these industries are becoming clearer. Only one-third of casual dining brands posted positive same store sales in 2025, proving the divide between industry leaders and losers is structural. Brands like Texas Roadhouse, Chili's, and CAVA are proof that a disciplined focus on experience, value and hospitality can drive traffic into stores. The consolidation trend underway is not temporary as undercapitalized operators exit and leaders in this space absorb customer base. In this environment execution consistency, brand equity along with unit economics have replaced expansion speed as primary measures of long-term franchise strength.

Capital Markets & Credit Landscape

Capital markets within the restaurant space have re-engaged in 2026 with credit spreads being the tightest in over two-decades. This had made debt much more accessible for operators looking to grow and financial engineer. Refinancing, dividend recapitalizations, and new unit debt are all active with IRRs in the 18-20% range, as well as cash-on-cash returns at roughly 35% by year three showing how attractive levered growth is for creditors and operators alike. However, this isn't the whole picture. Investment grade operators like McDonald's, Starbucks, and Darden are benefiting from royalty-backed, asset-light models that command tighter spreads and confidence from the lender. As sponsor-backed exits continue to flood the market, lenders are increasing becoming more selective, only lending to operators who scale and are consistent.

Forward Looking Trends

Looking forward, the casual dining space is navigating a disciplined expansion phase shaped by a few converging forces. The macro backdrop offers relief in a few departments: tax provisions from the One Big Beautiful Bill which include deductions on tips and overtime which would meaningfully increase disposable income for service workers and value-oriented consumers. Meanwhile, the FIFA World Cup and packed sports calendar this summer provide concentrated windows for operators to drive volume and recapture lapsed guests. On the contrary, tariff-driven input inflation, wage regulation, and escalating environmental compliance will continue to pressure margins, especially for the undercapitalized franchises. The operators that are best positioned to succeed are those who invested in digital infrastructure, loyalty programs and kitchen automations early which are now advantages that compound as competitors race to attempt to replicate them under margin pressure. AI driven inventory management, drive-thru voice ordering and are now all becoming operational tools. Long-term, we expect the sector to reward brands offering differentiated, experience-oriented dining with strong unit economics, and the pricing power to sustain growth through continued macro uncertainty.

Sources: Texas Roadhouse, The U.S. Sun

Meet the Team

Stephen Corrou is a third year pursuing a degree in Business Administration with concentrations in Finance and Accounting. He brings experience from two co-ops at Wellington Management. He currently works as an Equity Research Analyst on Wellington's Global Impact portfolio.

Stephen will be searching for a co-op for the Spring 2027 cycle. He is most interested in continuing with Public Market Equity Research, Asset Management, or Investment Banking.

Kelly Yam is a third year pursuing a degree in Business Administration with concentrations in Finance and Accounting along with a minor in Cell and Molecular Biology. She brings experience from two co-ops at Blackstone and Morgan Stanley. She current works as a High Yield Investment Research Co-op at Morgan Stanley Investment Management.

Kelly will be searching for a Spring co-op for the Spring 2027 cycle. She is interested in pursuing a careers in Asset Management.

Jaiveer Kumar is a second year pursuing a degree in Economics & Business Administration with a concentration in Finance. He brings experience from summer internships in Private Credit and Equity Research. He will be working in Technology Investment Banking at PEAK Technology Partners in their SF office.

Jaiveer is interested in working in either Investment Banking or Equity Research.

Thomas McCarthy is a second year pursuing a degree in Business Administration with a concentration in Finance, with minors in Data Science and Interdisciplinary AI. He brings experience from a research internship at Clerkie and will be joining Alkali Partners as an Investment Banking Analyst in July.

Thomas is actively searching for a Summer 2027 position and is most interested in Investment Banking and Growth Equity opportunities.

Dylan Fetterman is a second year pursuing a degree in Business Administration with concentrations in Finance and Entrepreneurial Startups, with a minor in Law and Public Policy. He brings experience from internships in wealth management and M&A. He will be searching for a Spring 2027 co-op during the fall.

Dylan is interested in working in the startup and venture capital space.